

ABANS FINANCE PLC
FINANCIAL STATEMENTS
31 MARCH 2019

APAG/PML/AD

**INDEPENDENT AUDITORS' REPORT
TO THE SHAREHOLDERS OF ABANS FINANCE PLC**

Report on the audit of the financial statements

Opinion

We have audited the financial statements of Abans Finance PLC ("the Company"), which comprise the statement of financial position as at 31 March 2019, and the statement of comprehensive income, statement of changes in equity and statement of cash flows for the year then ended, and notes to the financial statements, including a summary of significant accounting policies.

In our opinion, the accompanying financial statements give a true and fair view of the financial position of the Company as at 31 March 2019, and of its financial performance and its cash flows for the year then ended in accordance with Sri Lanka Accounting Standards.

Basis for opinion

We conducted our audit in accordance with Sri Lanka Auditing Standards (SLAuSS). Our responsibilities under those standards are further described in the Auditor's responsibilities for the audit of the financial statements section of our report. We are independent of the Company in accordance with the Code of Ethics issued by CA Sri Lanka (Code of Ethics) and we have fulfilled our other ethical responsibilities in accordance with the Code of Ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key audit matters

Key audit matters are those matters that, in our professional judgment, were of most significance in the audit of the financial statements of the current period. These matters were addressed in the context of the audit of the financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters. For each matter below, our description of how our audit addressed the matter is provided in that context.

We have fulfilled the responsibilities described in the Auditor's responsibilities for the audit of the financial statements section of our report, including in relation to these matters. Accordingly, our audit included the performance of procedures designed to respond to our assessment of the risks of material misstatement of the financial statements. The results of our audit procedures, including the procedures performed to address the matters below, provide the basis for our audit opinion on the accompanying financial statements.

(Contd...2/-)



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Key audit matter	How our audit addressed the key audit matter
Allowance for impairment of loans & leases including Company's transition to SLFRS 9: Our audit considered impairment for loans and Leases as a key audit matter. The materiality of the reported amounts for loans and leases (and impairment thereof), the subjectivity associated with management's impairment estimation, complex manual calculations of impairment and transition to Sri Lanka Financial Reporting Standard 9: Financial Instruments (SLFRS 9) underpinned our basis for considering it as a Key Audit Matter. As at 31 March 2019, loans & advances and receivables from lease & hire purchase (net of impairment) amounted to Rs. 2,128 Million (Note 20) and Rs. 5,262 Million (Note 21) respectively net of total allowance for impairment of LKR 794 Million (Note 20.1 and 21.1). These collectively contributed 83% to the Company's total assets. The impact on transition to SLFRS 9 on the Company's Financial Statements has been quantified and presented in the Note 05 to the Financial Statements. The allowance for impairment (both specific and collective) of these financial assets is estimated by management. Assumptions used by management in this calculation are inherently judgmental. Note 40.4.1(e) to the financial statements more fully describes the sensitivity of key assumptions.	To assess the reasonableness of the allowance for impairment, we carried out audit procedures (among others) to obtain sufficient and appropriate audit evidences, that included the following: - We evaluated the design, implementation and operating effectiveness of key internal controls over estimation of impairment for loans and leases, which included assessing the level of oversight, review and approval of impairment policies by the Board Audit Committee and management. - We test - checked the underlying calculations and data used in such calculations on a sample basis; - In addition to the above, focused procedures were performed as follows: • <i>For those individually assessed for impairment :</i> For a sample of non - performing loans & leases, management's forecasts of cash flows were test - checked to historical patterns of customer repayment. Among other procedures, forecast cash flows arising from collateral (or other source(s) of expected recovery) were verified to source documents; • <i>For those collectively assessed for impairment :</i> we tested the completeness of the underlying information used in the impairment calculations by agreeing details to the source documents and information in IT system. we also considered reasonableness of macro-economic and other factors used by management in their judgmental overlays, by comparing them with relevant publicly available data and information sources. - By using a set of audit procedures similar to those enumerated above, we validated the quantitative impact of the transition - We assessed the adequacy of the related financial statement disclosures as set out in note 5 (transition note)

(Contd...3/-)

Other information included in the 2019 Annual Report

Other information consists of the information included in the Annual Report, other than the financial statements and our auditor's report thereon. Management is responsible for the other information.

Our opinion on the financial statements does not cover the other information and we will not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Responsibilities of management and those charged with governance for the financial statements

Management is responsible for the preparation of financial statements that give a true and fair view in accordance with Sri Lanka Accounting Standards, and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Company's financial reporting process.

Auditor's responsibilities for the audit of the financial statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with SLAuSs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with SLAuSs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

1. identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.

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2. Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company's internal controls.
3. Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
4. Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Company to cease to continue as a going concern.
5. Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with ethical requirements in accordance with the Code of Ethics regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on Other Legal and Regulatory Requirements

As required by section 163 (2) of the Companies Act No. 07 of 2007, we have obtained all the information and explanations that were required for the audit and, as far as appears from our examination, proper accounting records have been kept by the Company.

CA Sri Lanka membership number of the engagement partner responsible for signing this independent auditor's report is 1697.



24 June 2019
Colombo

STATEMENT OF COMPREHENSIVE INCOME

Year ended 31 March 2019

	Notes	2019 Rs.	2018 Rs.
Income	6	1,978,548,890	1,917,670,594
Interest Income	6.1	1,820,102,486	1,711,585,707
Interest Expense	6.2	(860,326,072)	(813,594,238)
Net Interest Income		<u>959,776,414</u>	<u>897,991,469</u>
Fee and Commission Income	7.1	144,729,403	185,717,691
Fee and Commission Expense	7.2	(74,074,243)	(143,550,479)
Net Fee and Commission Income		<u>70,655,160</u>	<u>42,167,212</u>
Net Gain/(Loss) from Trading	8	206,400	1,676,964
Other Operating Income (net)	9	<u>13,510,601</u>	<u>18,690,232</u>
Total Operating Income		1,044,148,575	960,525,877
Credit Loss Expense on Financial Assets and Other Losses	10	(301,980,973)	(223,102,119)
Net Operating Income		<u>742,167,602</u>	<u>737,423,758</u>
Operating Expenses			
Personnel Costs	11	(239,637,004)	(256,394,681)
Depreciation & Amortization	12	(26,955,230)	(23,644,486)
Other Operating Expenses	13	(294,413,965)	(265,780,655)
Operating Profit before Taxes on Financial Services		<u>181,161,403</u>	<u>191,603,937</u>
Taxes on Financial Services	14	(70,281,850)	(58,654,511)
Profit before Taxation from Operations		<u>110,879,553</u>	<u>132,949,426</u>
Provision for Income Taxation	15.1	(87,158,230)	(38,085,738)
Profit for the Year		<u><u>23,721,323</u></u>	<u><u>94,863,688</u></u>
Other Comprehensive Income (OCI)			
Items that will not be reclassified to profit or loss			
Actuarial Gains/(Losses) on Defined Benefit Plan	35.1	3,316,624	(1,247,133)
Deferred Tax Effect of above	15.1	(928,655)	349,197
		<u>2,387,969</u>	<u>(897,936)</u>
Other Comprehensive Profit/(Loss) for the Year, Net of Tax		<u>2,387,969</u>	<u>(897,936)</u>
Total Comprehensive Income for the Year		<u><u>26,109,292</u></u>	<u><u>93,965,752</u></u>
Earnings Per Share : Basic / Diluted (Rs.)	16	<u><u>0.36</u></u>	<u><u>1.44</u></u>

Accounting Policies and Notes from pages 09 to 78 form an integral part of these Financial Statements.

STATEMENT OF FINANCIAL POSITION

As at 31 March 2019

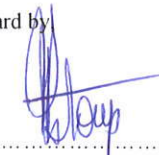
	Notes	2019 Rs.	2018 Rs.
Assets			
Cash and Bank Balances	17	263,517,684	405,474,541
Placement With Banks	18	249,659,017	550,601,090
Repurchase Agreements	19	281,537,224	362,248,075
Loans and Advances	20	2,127,780,588	2,447,085,638
Lease Rentals Receivable & Stock out on Hire	21	5,261,624,352	4,547,537,098
Financial Investments - Available for Sale	22	-	80,400
Equity Instruments at Fair Value through OCI	22	80,400	-
Financial Investments - Held to Maturity	23	-	239,630,135
Debt Instruments at Amortised Cost	23	235,914,339	-
Other Financial Assets	24	171,436,746	89,429,809
Real Estate Stock	25	50,793,213	58,049,675
Other Non Financial Assets	26	64,153,395	74,538,359
Tax Recoverable		-	19,422,858
Property, Plant & Equipment	28	85,287,696	89,641,860
Intangible Assets	27	32,758,835	21,098,350
Deferred Tax Assets	29	35,767,246	52,586,166
Total Assets		8,860,310,735	8,957,424,054
Liabilities			
Due to Banks	30	511,760,291	218,381,026
Due to Customers	31	5,792,966,524	6,615,159,367
Other Borrowed Funds	32	420,593,845	-
Other Financial Liabilities	33	555,894,435	525,278,976
Other Non Financial Liabilities	34	18,741,949	12,064,037
Current Tax Liabilities		8,822,247	-
Retirement Benefit Liability	35	17,471,181	18,912,720
Total Liabilities		7,326,250,472	7,389,796,126
Shareholders' Funds			
Stated Capital	36	1,121,412,955	1,121,412,955
Statutory Reserve Fund	37.2	112,983,832	108,239,567
Retained Earnings	37.1	299,663,476	337,975,406
Total Shareholders' Funds		1,534,060,263	1,567,627,928
Total Liabilities and Shareholders' Funds		8,860,310,735	8,957,424,054
Commitments and Contingencies	42	119,300,467	144,325,714

These Financial Statements are in compliance with the requirements of the Companies Act No. 07 of 2007.


 Chief Financial Officer

The Board of Directors is responsible for the Financial Statements. Signed for and on behalf of the Board by


 Director


 Director

Accounting Policies and Notes from pages 09 to 78 form an integral part of these Financial Statements.



STATEMENT OF CHANGES IN EQUITY

As at 31 March 2019

	Stated Capital Rs.	Statutory Reserve Rs.	Retained Earnings Rs.	Total Rs.
Balance as at 31 March 2017	844,073,080	89,266,829	276,925,848	1,210,265,757
Issue of Shares	277,339,875	-	-	277,339,875
Direct Cost on Right Issue	-	-	(631,142)	(631,142)
Dividend Paid	-	-	(13,312,315)	(13,312,315)
Net Profit for the year	-	-	94,863,688	94,863,688
Other Comprehensive Income net of tax	-	-	(897,936)	(897,936)
Transfer to Statutory Reserve Fund	-	18,972,738	(18,972,738)	-
Balance as at 31 March 2018	1,121,412,955	108,239,567	337,975,406	1,567,627,927
Impact of adopting SLFRS 09 as at 01 April 2018	-	-	(59,676,957)	(59,676,957)
Restated Balance under SLFRS 09 as at 01 April 2018	1,121,412,955	108,239,567	278,298,449	1,507,950,970
Net Profit for the year			23,721,323	23,721,323
Other Comprehensive Income net of tax			2,387,969	2,387,969
Transfer to Statutory Reserve Fund		4,744,265	(4,744,265)	-
Balance as at 31 March 2019	<u>1,121,412,955</u>	<u>112,983,832</u>	<u>299,663,476</u>	<u>1,534,060,262</u>

Accounting Policies and Notes from pages 09 to 78 form an integral part of these Financial Statements.

STATEMENT OF CASH FLOWS

Year ended 31 March 2019

	Notes	2019 Rs.	2018 Rs.
Cash Flows From / (Used in) Operating Activities			
Profit before Income Tax Expense		110,879,553	132,949,426
Adjustments for			
Depreciation	28.2	23,209,418	20,670,196
Amortization of Intangible Assets	27	3,745,812	2,974,290
Impairment Provision	10	301,980,973	223,102,119
Diminution/(Appreciation) in Value of Investments	8	-	(1,561,557)
Loss/(Profit) from Sale of Investments	8	-	168,046
Loss/(Profit) on Disposal of Property & Equipment	9	-	(1,182,865)
Provision/(Reversal) for Defined Benefit Plans	11	5,242,795	5,667,867
Dividend Received		(206,400)	(283,453)
Operating Profit before Working Capital Changes		444,852,152	382,504,069
(Increase)/Decrease in Real Estate Stock		7,256,462	8,001,017
(Increase)/Decrease in Loans and Advances		278,507,298	(342,668,574)
(Increase)/Decrease in Lease Rentals Receivable & Stock out on hire		(975,963,336)	(845,544,301)
(Increase)/Decrease in Other Financial Assets		(164,097,576)	(184,792,632)
(Increase)/Decrease in Other Non Financial Assets		10,384,965	(33,813,296)
Increase/(Decrease) in Amounts Due to Customers		(822,192,842)	1,064,606,822
Increase/(Decrease) in Other Financial Liabilities		30,615,459	42,629,434
Increase/(Decrease) in Other Non Financial Liabilities		6,677,912	(1,798,337)
Cash Generated from Operations		(1,183,959,506)	89,124,202
Retirement Benefit Liabilities Paid	35	(3,367,710)	(3,140,600)
Taxes Paid		(19,815,156)	(31,135,695)
Net Cash From/(Used in) Operating Activities		(1,207,142,372)	54,847,906
Cash Flows from / (Used in) Investing Activities			
Acquisition of Property, Plant & Equipment	28	(18,855,254)	(27,690,516)
Acquisition of Intangible Assets	27	(15,406,297)	(1,391,598)
Proceeds from Sales of Property, Plant & Equipment		-	4,391,000
Proceeds from Sale of Financial investments held -for- trading		-	9,022,642
Cash Flow from /(Used in) Fixed Deposits		286,034,476	(300,874,398)
Sale/(Purchase) of Financial Investments- Held to Maturity		3,715,796	(1,057,171)
Dividend Received		206,400	283,453
Net Cash Flows from/(Used in) Investing Activities		255,695,121	(317,316,588)
Cash Flows from / (Used in) Financing Activities			
Cash Inflow from Long Term Bank Borrowings	30.2	445,000,000	100,000,000
Cash Outflow from Long Term Bank Borrowings	30.2	(271,383,333)	(91,666,666)
Cash Flow from Other Borrowings	32.2	420,593,845	-
Net Cash Flow from Issue of Shares		-	276,708,733
Dividend Paid		-	(13,312,315)
Net Cash Flows from/(Used in) Financing Activities		594,210,512	271,729,752
Net Increase in Cash and Cash Equivalents		(357,236,739)	9,261,070
Cash and Cash Equivalents at the beginning of the year		1,008,737,712	999,476,642
Cash and Cash Equivalents at the end of the year		651,500,973	1,008,737,712

1. CORPORATE INFORMATION

1.1 General

Abans Finance PLC is domiciled, public limited liability company incorporated in Sri Lanka on 08 April 2005 under the Companies Act No. 17 of 1982, The Company was reregistered under the Companies Act No.7 of 2007 on 15 June 2009. It is a Licensed Finance Company registered under the Finance Business Act No.42 of 2011. The Company was listed on the Colombo Stock Exchange in 2011.

The registered office of the Company is located at No. 498, Galle Road, Colombo 03 and the principal place of business is situated at No. 456, R.A. De Mel Mawatha, Colombo 03.

1.2 Principal Activities and Nature of Operations

The Company provides a comprehensive range of financial services encompassing Acceptance of Fixed Deposits, Maintenance of saving Deposits, Providing Finance Leases, Hire Purchase, Mortgage Loans, Personal Loans and Other Credit Facilities. The Company also deals in real estate and Real Estate and related Services.

1.3 Parent Enterprise and Ultimate Parent Enterprise

The Company's parent company is Abans PLC and the ultimate parent company is Abans International (Pvt) Limited which are incorporated in Sri Lanka

1.4 Approval of Financial Statements by Directors

The Financial Statements of Abans Finance PLC for the year ended 31 March 2019 was authorized for issue in accordance with a resolution of the Board of Directors on 24 June 2019.

This is the first set of Annual Financial Statements in which SLFRS 9 – Financial Instruments and SLFRS15 - Revenue from Contracts with Customers have been applied. The changes to the significant accounting policies are described in Note 03 to the Financial Statements.

1.5 Directors' Responsibility Statement

The Board of Directors is responsible for the preparation and presentation of these Financial Statements as per the provisions of the Companies Act No.07 of 2007 and the Sri Lanka Accounting Standards comprising LKASs and SLFRSs (hereafter "SLFRS").

2. BASIS OF PREPARATION**2.1 Statement of Compliance**

The Financial Statements of the Company (Statement of Financial Position and Statement of Comprehensive Income, Statement of Changes in Equity, Statement of Cash Flows together with Accounting Policies and Notes) as at 31 March 2019 are prepared in accordance with Sri Lanka Accounting Standards comprising of SLFRSs and LKASs (hereafter referred as SLFRSs), as laid down by the Institute of Chartered Accountants of Sri Lanka (CA Sri Lanka) and in compliance with the requirements of the Companies Act No. 07 of 2007.

2.2 Basis of Measurement

The Financial Statements of the Company have been prepared on a historical cost basis, except for the following items in the Statement of Financial Position.

- Financial Assets at fair value through other comprehensive income (applicable from 01 January 2018) at fair value (Note 22)
- Available for Sale Financial Instruments (applicable before 01 January 2018) at fair value (Note 22)
- Liabilities for defined benefit obligations are recognized at the present value of the defined benefit obligation less the fair value of the plan assets (Note 35)

2.3 Functional and Presentation Currency

The Financial Statements of the Company are presented in Sri Lankan Rupees (Rs.), which is the currency of the primary economic environment in which Abans Finance PLC operates. The Financial information presented in Sri Lankan Rupees has been rounded to the nearest Rupee, except where otherwise indicated as permitted by the Sri Lanka Accounting Standard LKAS 01 on "Presentation of Financial Statements". There was no change in the Company's presentation and functional currency during the year under review.

2.4 Presentation of Financial Statements

The assets and liabilities of the Company presented in the Statement of Financial Position are grouped by nature and listed in an order that reflects their relative liquidity and maturity pattern. No adjustments have been made for inflationary factors affecting the Financial Statements. An analysis on recovery or settlement within 12 months after the reporting date (current) and more than 12 months after the reporting date (noncurrent) is presented in Note 39.

2.5 Materiality and Aggregation

In compliance with LKAS 01 on Presentation of Financial Statements, each material class of similar items is presented separately in the Financial Statements. Items of dissimilar nature or functions too are presented separately, if they are material.

Financial assets and financial liabilities are offset and the net amount reported in the Statement of Financial position only when there is a legally enforceable right to offset the recognized amounts and there is an intention to settle on a net basis, or to realize the assets and settle the liability simultaneously. Income and expenses are not offset in the Income Statement unless required or permitted by any accounting standard or interpretation, and as specifically disclosed in the accounting policies.

2.6 Comparative Information

The comparative information is re-classified whenever necessary to conform to the current year's presentation the details of which are given in Note 47 to the Financial Statements.

The comparative information has not been restated due to adoption of SLFRS 9, as explained in Note 3

2.7 Statement of Cash Flow

The cash flow statement has been prepared by using the indirect method in accordance with the Sri Lanka Accounting Standard - LKAS 7 (Statement of Cash Flows), whereby operating, investing and financial activities have been separately recognised. Cash and cash equivalents comprise of short term, highly liquid investments that are readily convertible to known amounts of cash and are subject to an insignificant risk of changes in value.

Cash and cash equivalents include cash in hand, balances with banks, placements with banks (less than 3 months), net of unfavourable bank balances and securities purchased under repurchase agreement (less than three months).

2.8 Events After the Reporting Date

Events after the reporting period are those events, favourable and unfavourable, that occur between the reporting date and the date when the Financial Statements are authorised for issue.

No circumstances have arisen since the reporting date, which would require adjustments to, or disclosure in the financial statements, other than those disclosed in Note 48 to the Financial Statements.

2.9 Significant Accounting Judgements, Estimates and Assumptions

The preparation of Financial Statements requires the application of certain critical accounting and assumptions relative to the future. Further, it requires management to make judgments, estimates and assumptions that affect the reported amounts of revenues, expenses, assets and liabilities, and the disclosure of contingent liabilities, at the end of the reporting period. However, uncertainty about these assumptions and estimates could result in outcomes that require a material adjustment to the carrying amount of the asset or liability affected in future periods.

a) Estimates and Assumptions

The key assumptions concerning the future and other key sources of estimation at the reporting date, that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year, are described below. The Company based these assumptions and estimates on parameters available at the time Financial Statements were prepared. Existing circumstances and assumptions about future developments, these may change due to market changes or circumstances arising beyond the control of the Company. Such changes are taken in to consideration in the assumptions when they occur.

I. Going Concern

The Directors have made an assessment of the company's ability to continue as a going concern and are satisfied that it has the resources to continue in business for the foreseeable future. Furthermore, board is not aware of any material uncertainties that may cast significant doubt upon the company's ability to continue as a going concern and they do not intend either to liquidate or to cease operations of the company. Therefore, the Financial Statements continue to be prepared on the going concern basis.

II. Defined Benefit Plans

The cost of defined benefit pension plan is determined using actuarial valuations. An actuarial valuation involves making various assumptions which may differ from actual developments in the future. These include the determination of the discount rate, future salary increases, mortality rates and future pension increases. Due to the complexity of the valuation, the underlying assumptions and their long term nature, a defined benefit obligation is highly sensitive to changes in these assumptions. All assumptions are reviewed at each reporting date as disclosed in Note 35.

In determining the appropriate discount rate, management considers the interest rates of Sri Lanka Government Bonds with extrapolated maturities corresponding to the expected duration of the defined benefit obligation. The mortality rate is based on publicly available mortality tables. Future salary increases are based on expected future inflation rates and expected future salary increase rate of the Company. The sensitivity of assumptions used in actuarial valuations are set out in Note 35.5 to the Financial Statements.

III. Impairment losses on Loans and Advances (Finance Leases, Hire Purchases, Mortgage Loans, Revolving Loans and Business/Personal Loans)

The measurement of impairment losses under SLFRS 9 and LKAS 39 across all categories of financial assets requires judgment, in particular, the estimation of the amount and timing of future cash flows and collateral values when determining impairment losses and the assessment of a significant increase in credit risk. These estimates driven by a number of factors, changes which can result in different levels of allowances.

Applicable from 1 January 2018

The Company's expected credit loss (ECL) calculations are output of complex models with a number of underlying assumptions regarding the choice of variable inputs and their interdependencies. The elements of the ECL models that are considered accounting judgements and estimates include.

- The Company's criteria for assessing if there has been a significant increase in credit risk and so allowances for financial assets should be measured on a lifetime expected credit loss (LTECL) basis and the qualitative assessment
- The segmentation of financial assets when their fair values when their ECL is assessed on a collective basis.
- Development of ECLs, models, including the various formulas and the choice of inputs
Determination of associations between macroeconomic scenarios and, economic inputs, such as unemployment levels and collateral values, and the effect on probability of default (PDs), Exposure at default (EADs) and loss given default (LGDs).
- Selection of forward –looking macroeconomic scenarios and their probability weightings, to derive the economic inputs into the ECL models.

Applicable before 1 January 2018

The Company reviews its individually significant loans and advances at each financial reporting date to assess whether an impairment loss should be recorded in the income statement. In particular, management's judgment was required in the estimation of the amount and timing of future cash flows when determining the impairment loss. These estimates were based on assumptions about a number of factors and actual results may differ, resulting in future changes to the allowance.

Loans and advances that have been assessed individually and found not to be impaired and all individually insignificant loans and advances are then assessed collectively, in groups of assets with similar risk characteristics, to determine whether provision should be made due to incurred loss events for which there is objective evidence, but the effects of which are not yet evident. The collective assessment takes account of data from the loan portfolio (such as loan type, asset type and past due status etc., and judgments on the effect of concentrations of risks and economic data including levels of unemployment, consumer price indices, interest rates, exchange rates). Impairment of loans and receivables is discussed in detail under Note 20 to 21 to the Financial Statements.

It is the Company's policy to regularly review its models in the context of actual loss experience and adjust whenever necessary.

IV. Fair Value of Financial Instruments

The determination of fair value of financial assets and financial liabilities recorded on the Statement of Financial Position for which there is no observable market price are determined using a variety of valuation techniques that include the use of mathematical models. The valuation of financial instrument is described in Note 39 to the Financial Statements. The Company measures fair value using the fair value hierarchy that reflects the significance of input used in making measurements. The fair value hierarchy is also given in Note 39.2 to the Financial Statements.

V. Financial Assets and Financial Liabilities Classification

The Company's accounting policies provide scope for assets and liabilities to be classified, at inception in to different accounting categories. The classification of financial instrument is given in Note 38 "Analysis of Financial Instruments by Measurement Basis".

VI. Useful life of Property, Plant and Equipment and Intangible Assets

The Company reviews the assets' residual values, useful lives and methods of depreciation and amortization of Property, Plant, Equipments and Intangible Assets at each reporting date. Judgment by the management is exercised in the estimation of these values, rates, methods and hence they are subject to uncertainty.

VII. Taxation

The Company is subject to income tax and judgment is required to determine the total provision for current, deferred and other taxes due to the uncertainties that exist with respect to the interpretation of the applicable tax laws, at the time of preparation of these Financial Statements.

The Company has adopted the requirements of the New Inland Revenue Act 24 of 2017 which was effective from 1 April 2018 and deferred tax assets are recognised in respect of tax losses to the extent that it is probable that future taxable profit will be available against which the losses can be utilised. Judgment is required to determine the amount of deferred tax assets that can be recognised, based upon the likely timing and level of future taxable profits, together with future tax-planning strategies.

Further, deferred tax assets are recognised in respect of tax losses to the extent that it is probable that future taxable profit will be available against which the losses can be utilised. Judgment is required to determine the amount of deferred tax assets that can be recognised, based upon the likely timing and level of future taxable profits, together with future tax-planning strategies.

VIII. Provisions, Commitments and Contingencies

All discernible risks are accounted for in determining the amount of all known liabilities.

Contingent liabilities are possible obligations whose existence will be confirmed only by uncertain future events or present obligations where the transfer of economic benefit is not probable or cannot be reliably measured. Contingent liabilities are not recognised in the Statement of Financial Position but are disclosed unless they are remote. Refer Note 42 for more details on Commitments and Contingencies.

3. CHANGES IN ACCOUNTING POLICIES

The Company has adopted SLFRS 9 –Financial Instruments, SLFRS 7 (Revised) - Financial Instruments Disclosures, SLFRS 15-Revenue from Contracts with Customers, effective for annual periods beginning on or after 01 January 2018, for the first time. The Company has not adopted early any other standard, interpretation or amendment that has been issued but is not yet effective.

SLFRS 9 -Financial Instruments

The Company has initially adopted SLFRS 9 with the date of transition as 01 January 2018. The Company has not early adopted this standard in previous periods. The adoption of SLFRS 9 has resulted in changes in accounting policies for recognition, classification and measurement of financial assets and financial liabilities and impairment of financial assets. SLFRS 9 significantly amends the other standards dealing with financial instruments such as SLFRS 7 ‘Financial Instruments: Disclosure’.

As permitted by the transitional provisions of SLFRS 9, the Company elected not to restate comparative figures. Any adjustments to the carrying amounts of financial assets and liabilities, at the date of transition were recognized in the retained earnings as at 1 April 2018. Accordingly, the information presented for year 2017 /2018 does not reflect the requirements of SLFRS 9 and therefore not comparable to the information presented for the year 2018/2019 under SLFRS 9.

SLFRS 9 sets out the requirements for recognising and measuring financial assets and financial liabilities. This standard replaces LKAS 39 Financial Instruments: Recognition and Measurement. The requirements of SLFRS 9 represent a significant change from LKAS 39. This new standard brings fundamental changes to the accounting for financial assets and to certain aspects of accounting for financial liabilities.

Additionally, the Company has adopted consequential amendments to SLFRS 7 Financial Instruments: Disclosures that are applied to disclosures of 2018/2019, but have not been applied to the comparative information.

The key changes to the Company’s accounting policies resulting from its adoption of SLFRS 9 are summarised below. The full impact of adopting SLFRS 9 is set out in Note 5 to the Financial Statements.

Classification of Financial Assets & Financial Liabilities

SLFRS 9 contains three principal classification categories for financial assets: measured at amortised cost, fair value through other comprehensive income (FVOCI) and Fair value through Profit & Loss (FVTPL). SLFRS 9 classification is generally based on the business model in which a financial asset is managed and its contractual cash flow characteristics.

The LKAS 39 measurement categories of financial assets (fair value through profit or loss (FVPL), available for sale (AFS), held-to-maturity and amortised cost) have been replaced by:

- Debt instruments at amortised cost
- Debt instruments at fair value through other comprehensive income(FVOCI),with gains or losses recycled to profit or loss on derecognition
- Equity instruments at FVOCI,with no recycling of gains or losses to profit or loss on derecognition
- Financial assets at FVPL

SLFRS 9 largely retains the existing requirements in LKAS 39 for classification of Financial Liabilities. However, although under LKAS 39 all fair value changes of liabilities designated under the fair value option were recognised in profit or loss, under SLFRS 9 fair value changes are generally presented as follows.

- The amount of change in the fair value that is attributable to changes in the credit risk of the liability is presented in OCI; and
- The remaining amount of change in the fair value is presented in profit or loss.

The Company's classification of its financial assets and liabilities is explained in Note 38 to the Financial Statements. The quantitative impact of applying SLFRS 9 as at 01 April 2018 is disclosed in Note 5 to the Financial Statements.

Impairment of financial assets

The adoption of SLFRS 9 has fundamentally changed the Company's accounting for loan loss impairments by replacing LKAS 39's Incurred Loss approach with a forward looking Expected Credit Loss (ECL) approach. The SLFRS 9 requires the Company to record an allowance for ECLs for all loans and other debt financial assets not held at FVTPL, together with loan commitments and financial guarantee contracts.

Details of the Company's impairment method are disclosed in Note 4.1.10 to the Financial Statements. The quantitative impact of applying SLFRS 9 as of 01 April 2018 is disclosed in Note 5 to the Financial Statements.

To reflect the differences between SLFRS 9 and LKAS 39, Financial Instruments: Disclosures was updated and the Company has adopted it, together with SLFRS 7, for the year beginning 01 April 2018. Changes include transition disclosures as shown in Note 5, detailed information about the ECL calculations such as assumptions and inputs are set out in Note 4.1.10 to the Financial Statements.

SLFRS 15 –Revenue from Contracts with Customers

The Company has also adopted SLFRS 15 on 01 April 2018 prospectively. The adoption of SLFRS 15 did not impact the timing or amount of fee and commission income from contracts with customers and the related assets and liabilities recognized by the Company. Accordingly, the impact of comparative information is limited to new disclosure requirements.

Except for the changes mentioned above, the Company has consistently applied the accounting policies for all periods presented in these Financial Statements.

4. GENERAL ACCOUNTING POLICIES

The accounting policies set out below have been applied consistently to all periods presented in these Financial Statements except for the changes mentioned in Note 3 to the Financial Statements.

4.1 Financial Instruments-Initial Recognition, Classification and Subsequent Measurement

4.1.1 Date of Recognition

All financial assets and liabilities are initially recognised on the trade date, i.e. the date that the Company becomes a party to the contractual provisions of the instrument. This includes "regular way trades". Regular way trade means purchases or sales of financial assets within the time frame generally established by regulation or convention in the market place.

4.1.2 Initial measurement of Financial Instruments

The classification of financial instruments at initial recognition depends on their contractual terms and the business model for managing the instruments. Financial instruments are initially measured at their fair value, except in the case of financial assets and financial liabilities recorded at fair value through profit or loss (FVPL), transaction costs are added to, or subtracted from, this amount. When the fair value of financial instruments at initial recognition differs from the transaction price, the Company accounts for "Day 1 profit or loss", as described below.

4.1.3 'Day 1' profit or loss

When the transaction price differs from the fair value of other observable current market transactions in the same instrument, or based on a valuation technique whose variables include only data from observable markets, the Company recognises the difference between the transaction price and fair value (a 'Day 1' profit or loss) in the Income Statement over the tenor of the financial instrument using effective interest rate method. In cases where fair value is determined using data which is not observable, the difference between the transaction price and model value is only recognised in the Income Statement when the inputs become observable, or when the instrument is derecognised.

4.1.4 Measurement categories of Financial Assets and Financial Liabilities**4.1.4 (a) Policy applicable from 1 January 2018**

On initial recognition, a financial asset is classified as measured at,

- Amortised Cost,
- Fair Value Through Other Comprehensive Income (FVOCI) or
- Fair value Through Profit or Loss.(FVPL)

Financial liabilities are measured at amortised cost or at FVTPL when they are held for trading and derivative instruments or the fair value designation is applied.

4.1.4 (a) (i).Financial Assets at Amortised cost :

The Company only measures loans, receivables, and other financial investments, at amortised cost if both of the following conditions are met:

- The financial asset is held within a business model with the objective to hold financial assets in order to collect contractual cash flows
- The contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest (SPPI) on the principal amount outstanding.

Financial Assets consist of cash and bank balances, securities purchased under repurchase agreements, placement with banks, lease rentals receivable & stock out on hire, loan receivables, and other financial assets.

The details of the above conditions are outlined below.

Business model assessment

The Company determines its business model at the level that best reflect how it manages groups of financial assets to achieve its business objective.

The Company's business model is not assessed on an instrument-by-instrument basis, but at a higher level of aggregated portfolios and is based on observable factors such as:

- How the performance of the business model and the financial assets held within that business model are evaluated and reported to the entity's Key Management Personnel
- The risks that affect the performance of the business model (and the financial assets held within that business model) and, in particular, the way those risks are managed
- How managers of the business are compensated (for example, whether the compensation is based on the fair values of the assets managed or on the contractual cash flows collected)
- The expected frequency, value and timing of sales are also important aspects of the Company's assessment

The business model assessment is based on reasonably expected scenarios without taking “worst case” or “stress case” scenarios into account. If cash flows after initial recognition are realised in a way that is different from the Company’s original expectations, the Company does not change the classification of the remaining financial assets held in that business model, but incorporates such information when assessing newly originated or newly purchased financial assets going forward.

The Solely Payments of Principal and Interest (SPPI) test

As a second step of its classification process, the Company assesses the contractual terms of financial to identify whether they meet the SPPI test.

‘Principal’ for the purpose of this test is defined as the fair value of the financial asset at initial recognition and may change over the life of the financial asset (for example, if there are repayments of principal or amortisation of the premium/discount).

The most significant elements of interest within a lending arrangement are typically the consideration for the time value of money and credit risk. To make the SPPI assessment, the Company applies judgement and considers relevant factors such as the currency in which the financial asset is denominated, and the period for which the interest rate is set.

In contrast, contractual terms of that introduce a more than de minimis exposure to risks or volatility in the contractual cash flows that are unrelated to a basic lending arrangement do not give rise to contractual cash flows that are solely payments of principal and interest on the amount outstanding. In such cases, the financial asset is required to be measured at FVPL.

4.1.4 (a) (ii) Equity instruments at FVOCI

Upon initial recognition, the Company occasionally elects to classify irrevocably some of its equity investments as equity instruments at FVOCI when they meet the definition of Equity under LKAS 32 Financial Instruments: Presentation and are not held for trading. Such classification is determined on an instrument-by-instrument basis.

Gains and losses on these equity instruments are never recycled to profit. Dividends are recognised in profit or loss as other operating income when the right of the payment has been established, except when the Company benefits from such proceeds as a recovery of part of the cost of the instrument, in which case, such gains are recorded in OCI. Equity instruments at FVOCI are not subject to an impairment assessment.

Currently, the Company has recorded its non-quoted equity investments FVOCI at cost less ECL if any. The details of equity instruments at FVOCI are given in Note 22 to the Financial Statements.

4.1.4 (a) (iii) Debt issued and other borrowed funds

After initial measurement, debt issued and other borrowed funds are subsequently measured at amortised cost. Amortised cost is calculated by taking into account any discount or premium on issue funds, and costs that are an integral part of the EIR. A compound financial instrument which contains both a liability and an equity component is separated at the issue date.

Currently, the Company has recorded Debt issued and other borrowed funds as Financial Liabilities at Amortised Cost in the form of term loans, short term loans and securitizations.

4.1.4 (b) Policy applicable before 1 January 2018

The Company classified its financial assets into one of the following categories, as per Sri Lanka Accounting Standard LKAS 39 on 'Financial Instruments: Recognition and Measurement'.

- a) Financial assets at Fair value through profit or loss (FVTPL);
- b) Loans & Receivables (L&R)
- c) Held to Maturity (HTM) Financial assets
- d) Financial assets available for sale

The Company determines the classification of its financial assets at initial recognition. The classification depends on the purpose for which the investments were acquired or originated and based on the Company's ability to hold.

Subsequent measurement of financial assets depends on their classification.

a) Financial Assets at Fair Value through Profit or Loss (FVTPL)

Financial assets at fair value through profit or loss include financial assets held for trading and financial assets designated upon initial recognition at fair value through profit or loss.

The Company does not have financial assets under this category.

b) Financial Assets Available for Sale

Financial Assets available for sale include equity securities. Equity investments classified as available for sale are those which are neither classified as held for trading nor designated at fair value through profit or loss. The Company has not classified any loans or receivables as available for sale.

After initial measurement, available for sale financial investments are subsequently measured at fair value.

Unrealised gains or losses are recognised directly in equity (Other Comprehensive Income) in the 'Available for Sale Reserve'. When the investment is disposed of, the cumulative gain or loss previously recognised in equity is recognised in the Income Statement in 'Other Operating Income'. When the Company holds more than one investment in the same security, they are deemed to be disposed of on a first-in-first-out basis. Interest earned whilst holding available for sale financial investments is reported as interest income using the effective interest rate (EIR).

Dividends earned whilst holding available for sale financial investments are recognised in the income statement as 'Other operating income' when the right of the payment has been established. The losses arising from impairment of such investments are recognised in the Income Statement in 'impairment charges for loans and other losses' and removed from the Available for Sale Reserve.

Currently, the Company does not have any non-quoted equity investments.

c) Held to Maturity Financial Assets

Held to Maturity Financial assets are non-derivative financial assets with fixed or determinable payments and fixed maturities, which the company has the intention and ability to hold to maturity. This includes investment in government securities.

After the initial measurement, held to maturity financial instruments are subsequently measured at amortised cost using the EIR, less impairment. Amortised cost is calculated by taking into account any discount or premium on acquisition and fees that are an integral part of the EIR. The amortisation is included in 'Interest Income' in the Income Statement. The losses arising from impairment of such investments are recognised in the Income Statement in 'impairment charges for loans and other losses'.

If the Company were to sell or reclassify more than an insignificant amount of Held to Maturity investments before maturity (other than in certain specific circumstances) the entire category would be tainted and would be reclassified as available for sale. Furthermore, the Company would be prohibited from classifying any financial assets as held to maturity during the following two years. The details of HTM financial investments are given in Note 23 to Financial Statements.

d) Loans and Receivables

Loans and advances to customers and Lease Rental Receivables from customers include non-derivative financial assets with fixed or determinable payments that are not quoted in an active market, other than:

- Those that the Company intends to sell immediately in the near term and those that, upon initial recognition, designates as fair value through profit or loss
- Those that the Company, upon initial recognition, designates as available for sale
- Those for which the Company may not recover substantially all of its initial investments, other than because of credit deterioration

After initial measurement, 'Loans and Receivables' are subsequently measured at amortised cost using the Effective Interest rate (EIR), less allowance for impairment. Amortised cost is calculated by taking in to account any discount or premium on acquisition, fees, and costs that are an integral part of the EIR. The amortisation is included in 'Interest Income' in the Income Statement. The losses arising from impairment are recognised in impairment charges for loans and receivables 'in the Income Statement.

Loans and Receivables consist of cash and bank balances, securities purchased under repurchase agreements, placement with banks, lease rentals receivable & stock out on hire, loan receivables, and other financial assets.

4.1.5 Cash and Bank balances

Cash and bank balances comprise cash in hand, balances with banks, loans at call and at short notice that are subject to an insignificant risk of changes in their fair value and are used by the Company in the management of its short-term commitments. Details of cash and bank balances are given in Note 17 to Financial Statements.

4.1.6 Classification and Subsequent Measurement of Financial Liabilities

Financial liabilities, other than loan commitments and financial guarantees, are classified as,

- (i) Financial liabilities at Fair Value through Profit or Loss (FVTPL)
 - a) Financial liabilities held for trading
 - b) Financial liabilities designated at fair value through profit or loss
- (ii) Financial liabilities at amortised cost, when they are held for trading and derivative instruments or the fair value designation is applied.

The subsequent measurement of financial liabilities depends on their classification.

i. Financial Liabilities at Amortised Cost

Financial Instruments issued by the Company that are not designated at fair value through profit or loss, are classified as financial liabilities at amortised cost under 'bank overdraft', 'due to other customers', 'debt issued and other borrowed funds' and 'other payables' as appropriate, where the substance of the contractual arrangement results in the Company having an obligation either to deliver cash or another financial asset to the holder, or to satisfy the obligation other than by the exchange of a fixed amount of cash or another financial assets for a fixed number of own equity shares at amortised cost using EIR method.

After initial recognition, such financial liabilities are substantially measured at amortised cost using the EIR method. Amortised cost is calculated by taking into account any discount or premium on the issue and costs that are integral part of the EIR. The EIR amortisation is included in 'interest expenses' in the Income Statement. Gains and losses are recognized in the Income Statement when the liabilities are derecognised as well as through the EIR amortisation process.

Currently, the Company has recorded Debt issued and other borrowed funds as Financial Liabilities at Amortised Cost in the form of term loans, short term loans and debentures.

4.1.7 Reclassifications of Financial assets and Financial Liabilities

From 01 April 2018, the Company does not reclassify its financial assets subsequent to their initial recognition, apart from the exceptional circumstances in which the Company acquires, disposes of, or terminates a business line. Financial liabilities are never reclassified. The Company did not reclassify any of its financial assets or liabilities in 2017/2018.

4.1.8 Derecognition of Financial Assets and Financial Liabilities

4.1.8 (a) Derecognition of Financial Assets

A financial asset (or, where applicable, a part of a financial asset or part of a group of similar financial assets) is derecognised when the rights to receive cash flows from the financial asset have expired. The Company also derecognises the financial asset if it has both transferred the financial asset and the transfer qualifies for derecognition.

The Company has transferred the financial asset, if and only if, either:

- The Company has transferred its contractual rights to receive cash flows from the financial asset
- Or
- It retains the rights to cash flows, but has assumed an obligation to pay the received cash flows in full without material delay to a third party under a 'pass-through' arrangement.

Pass-through arrangements are transactions whereby the Company retains the contractual rights to receive the cash flows of a financial asset (the 'original asset'), but assumes a contractual obligation to pay those cash flows to one or more entities (the 'eventual recipients'), when all of the following three conditions are met:

- The Company has no obligation to pay amounts to the eventual recipients unless it has collected equivalent amounts from the original asset, excluding short-term advances with the right to full recovery of the amount lent plus accrued interest at market rates.
- The Company cannot sell or pledge the original asset other than as security to the eventual recipients
- The Company has to remit any cash flows it collects on behalf of the eventual recipients without material delay. In addition, the Company is not entitled to reinvest such cash flows, except for investments in cash or cash equivalents including interest earned, during the period between the collection date and the date of required remittance to the eventual recipients.

A transfer only qualifies for derecognition if either:

- The Company has transferred substantially all the risks and rewards of the asset
- Or
- The Company has neither transferred nor retained substantially all the risks and rewards of the asset, but has transferred control of the asset

The Company considers control to be transferred if and only if, the transferee has the practical ability to sell the asset in its entirety to an unrelated third party and is able to exercise that ability unilaterally and without imposing additional restrictions on the transfer.

On derecognition of a financial asset, the difference between the carrying amount of the asset (or the carrying amount allocated to the portion of the asset derecognised) and the sum of the consideration received (including any new asset obtained less any new liability assumed) and any cumulative gain or loss that had been recognised in other comprehensive income is recognised in profit or loss.

When the Company has neither transferred nor retained substantially all the risks and rewards and has retained control of the asset, the asset continues to be recognised only to the extent of the Company's continuing involvement, in which case, the Company also recognises as associated liability. The transferred asset and the associated liability are measured on a basis that reflects the rights and obligations that the Company has retained.

Continuing involvement that takes the form of a guarantee over the transferred asset is measured at the lower of the original carrying amount of the asset and the maximum amount of consideration the Company could be required to pay.

If continuing involvement takes the form of a written or purchased option (or both) on the transferred asset, the continuing involvement is measured at the value the Company would be required to pay upon repurchase. In the case of a written put option on an asset that is measured at fair value, the extent of the entity's continuing involvement is limited to the lower of the fair value of the transferred asset and the option exercise price.

4.1.8 (b) Derecognition - Financial Liabilities

A financial liability is derecognised when the obligation under the liability is discharged or cancelled or expires.

Where an existing financial liability is replaced by another from the same lender on substantially different terms, or the terms of an existing liability are substantially modified, such an exchange or modification is treated as a derecognition of the original liability and the recognition of a new liability. The difference between the carrying value of the original financial liability and the consideration paid is recognised in profit or loss.

4.1.9 Determination of Fair Value

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. The fair value measurement is based on the presumption that the transaction to sell the asset or transfer the liability takes place either:

- In the principal market for the asset or liability, or
- In the absence of a principal market, in the most advantageous market for the asset or liability

The principal or the most advantageous market must be accessible by the Company.

The fair value of an asset or a liability is measured using the assumptions that market participants would use when pricing the asset or liability, assuming that market participants act in their economic best interest.

A fair value measurement of a non-financial asset takes into account a market participant's ability to generate economic benefits by using the asset in its highest and best use or by selling it to another market participant that would use the asset in its highest and best use.

The Company uses valuation techniques that are appropriate in the circumstances and for which sufficient data are available to measure fair value, maximising the use of relevant observable inputs and minimising the use of unobservable inputs.

All assets and liabilities for which fair value is measured or disclosed in the financial statements are categorised within the fair value hierarchy, described as follows, based on the lowest level input that is significant to the fair value measurement as a whole:

- Level 1 — Quoted (unadjusted) market prices in active markets for identical assets or liabilities
- Level 2 — Valuation techniques for which the lowest level input that is significant to the fair value measurement is directly or indirectly observable
- Level 3 — Valuation techniques for which the lowest level input that is significant to the fair value measurement is unobservable

For assets and liabilities that are recognised in the financial statements on a recurring basis, the Company determines whether transfers have occurred between levels in the hierarchy by re-assessing categorisation (based on the lowest level input that is significant to the fair value measurement as a whole) at the end of each reporting period.

The disclosure of fair value of financial instruments is disclosed in Note 39 to the Financial Statements.

4.1.10 Impairment of Financial Assets

4.1.10 (i) Policy applicable from 1 January 2018

a. Overview of the expected credit loss (ECL) principles

The Company recognises expected credit losses for all loans and other debt financial assets not held at FVTPL, together with loan commitments and financial guarantee contracts. Equity instruments are not subject to impairment under SLFRS 9.

The ECL allowance is based on the credit losses expected to arise over the life of the asset (the lifetime expected credit loss or LTECL), unless there has been no significant increase in credit risk since origination, in which case, the allowance is based on the 12 months' expected credit loss (12mECL). The Company's policies for determining if there has been a significant increase in credit risk are set out in Note 40.4.1 (b)

The 12mECL is the portion of LTECLs that represent the ECLs that result from default events on a financial instrument that are possible within the 12 months after the reporting date.

Both LTECLs and 12mECLs are calculated on either an individual basis or collective basis, depending on the nature of the underlying portfolio of financial instruments.

The Company established a policy to perform an assessment, at the end of each reporting period, of whether a financial instrument's credit risk has increased significantly since initial recognition, by considering the change in the risk of default occurring over the remaining life of the financial instrument.

Based on the above process, the Company groups its loans into Stage 1, Stage 2, Stage 3 and POCI, as described below.

Stage 1: When loans are first recognised, the Company recognises an allowance based on 12mECLs. Stage 1 loans also include facilities where the credit risk has improved and the loan has been reclassified from Stage 2.

Stage 2: When a loan has shown a significant increase in credit risk since origination, the Company records an allowance for the LTECLs. Stage 2 loans also include facilities, where the credit risk has improved and the loan has been reclassified from Stage 3.

Stage 3: Loans considered credit-impaired. The Company records an allowance for the LTECLs.

POCI: Purchased or originated credit impaired (POCI) assets are financial assets that are credit impaired on initial recognition. POCI assets are recorded at fair value at original recognition and interest income is subsequently recognised based on a credit-adjusted EIR. ECLs are only recognised or released to the extent that there is a subsequent change in the expected credit losses.

For financial assets for which the Company has no reasonable expectations of recovering either the entire outstanding amount, or a proportion thereof, the gross carrying amount of the financial asset is reduced. This is considered a (partial) derecognition of the financial asset.

b.The Calculation of Expected Credit Loss (ECL)

The Company calculates ECLs based on a four probability-weighted scenarios to measure the expected cash shortfalls, discounted at an approximation to the EIR. A cash shortfall is the difference between the cash flows that are due to an entity in accordance with the contract and the cash flows that the entity expects to receive.

The mechanics of the ECL calculations are outlined below and the key elements are, as follows.

- PD :** The probability of Default is an estimate of the likelihood of default over a given time horizon. A default may only happen at a certain time over the assessed period, if the facility has not been previously derecognised and is still in the portfolio.
- EAD:** The Exposure at Default is an estimate of the exposure at a future default date, taking into account expected changes in the exposure after the reporting date, including repayments of principal and interest, whether scheduled by contract or otherwise, expected draw downs on committed facilities, and accrued interest from missed payments.
- LGD:** The Loss Given Default is an estimate of the loss arising in the case where a default occurs at a given time. It is based on the difference between the contractual cash flows due and those that the lender would expect to receive, including from the realisation of any collateral. It is usually expressed as a percentage of the EAD.

The mechanism of the ECL method are summarised below.

- Stage 1:** The 12mECL is calculated as the portion of LTECLs that represent the ECLs that represent the ECLs that result from default events on a financial instrument that are possible within the 12 months after the reporting date. The Company calculates the 12mECL allowance based on the expectation of a default occurring in the 12 months following the reporting date. These expected 12-month default probabilities are applied to a forecast EAD and multiplied by the expected LGD and discounted by an approximation of the original EIR.
- Stage2:** When a loan has shown a significant increase in credit risk since origination, the Company records an allowance for the LTECLs. The mechanics are similar to those explained above, including the use of multiple scenarios, but PDs and LGDs are estimated over the lifetime of the instrument. The expected cash shortfalls are discounted by an approximation to the original EIR.
- Stage 3:** For loans considered credit-impaired, the Company recognises the lifetime expected credit losses for these loans. The method is similar to that for Stage 2 assets, with the PD set at 100%.

c. Forward looking information

In its ECL models, the Company relies on a broad range of forward looking information as economic inputs, such as:

- GDP growth
- Unemployment rate
- Central Bank base rates
- Inflation

The inputs and models used for calculating ECLs may not always capture all characteristics of the market at the date of the Financial Statements. To reflect this, qualitative adjustments or overlays are occasionally made as temporary adjustments when such differences are significantly material.

4.1.10 (ii) Policy applicable before 1 January 2018

The Company assesses at each reporting date, whether there is any objective evidence that a financial asset or a group of financial assets is impaired. A financial asset or a group of financial assets are deemed to be impaired if, and only if, there is objective evidence of impairment as a result of one or more events that have occurred after the initial recognition of the asset (an 'incurred loss event') and that loss event (or events) has an impact on the estimated future cash flows of the financial asset or the group of financial assets that can be reliably estimated.

Evidence of impairment may include: indications that the borrower or a group of borrowers are experiencing significant financial difficulty; the probability that they will enter bankruptcy or other financial reorganisation default or delinquency in interest or principal payments; and where observable data indicates that there is measurable decrease in the estimated future cash flows, such as changes in arrears or economic conditions that correlate with defaults.

a. Financial Assets carried at Amortised Cost**(i) Individually assessed Loans and Advances and Lease and Stock out on Hire**

For financial assets carried at amortised cost (such as loans and advances to customers as well as held to maturity investments), the Company first assesses individually whether objective evidence of impairment exists for financial assets that are individually significant, or collectively for financial assets that are not individually significant.

The criteria used to determine that there is such objective evidence includes:

- known cash flow difficulties experienced by the borrower;
- past due contractual payments of either principal or interest;
- breach of loan covenants or conditions;
- the probability that the borrower will enter bankruptcy or other financial realisation; and
- Significant downgrading in credit rating by an external credit rating agency

For those loans where objective evidence of impairment exists, the amount of the loss is measured as the difference between the asset's carrying amount and the present value of estimated future cash flows (excluding future expected credit losses that have not yet been incurred). The carrying amount of the asset is reduced through the use of an allowance account and the amount of the loss is recognised in Income Statement.

For those loans where objective evidence of impairment exists, impairment losses are determined considering the following factors:

- Company's aggregate exposure to the customer;
- The viability of the customer's business model and the capacity to trade successfully out of financial difficulties and generate sufficient cash flow to service debt obligations;
- The amount and timing of expected receipts and recoveries;

- The complexity of determining the aggregate amount and ranking of all creditor claims and the extent to which legal and insurance uncertainties are evident;
- The realisable value of security and likelihood of successful repossession; and
- The likely deduction of any costs involved in recovery of amounts outstanding;

Impairment losses are calculated by discounting the expected future cash flows of a loan at its original effective interest rate and comparing the resultant present value with the loan's current carrying amount. The impairment allowances on individually significant accounts are reviewed more regularly when circumstances require. This normally encompasses re-assessment of the enforceability of any collateral held and the timing and amount of actual and anticipated receipts. Individually assessed impairment allowances are only released when there is reasonable and objective evidence of a reduction in the established loss estimate.

(ii) Incurred but not yet identified impairment

Individually assessed loans for which no evidence of loss has been specifically identified on an individual basis are grouped together according to their credit risk characteristics for the purpose of calculating an estimated collective loss. This reflects impairment losses that the Company has incurred as a result of events occurring before the reporting date, which the Company is not able to identify on an individual loan basis, and that can be reliably estimated. These losses will only be individually identified in the future. As soon as information becomes available which identifies losses on individual loans within the group, those loans are removed from the group and assessed on an individual basis for impairment.

The collective impairment allowance is determined after taking into account:

- historical loss experience in portfolios of similar credit risk; and
- management's experienced judgment as to whether current economic and credit conditions are such that the actual level of inherent losses at the balance sheet date is likely to be greater or less than that suggested by historical experience.

(iii) Collectively assessed Loans and Receivables

Impairment is assessed on a collective basis in two circumstances:

- to cover losses which have been incurred but have not yet been identified on loans subject to individual assessment; and
- for homogeneous groups of loans that are not considered individually significant.

(iv) Homogeneous groups of Loans and Advances

Statistical methods are used to determine impairment losses on a collective basis for homogeneous groups of loans. Losses in these groups of loans are recorded on an individual basis when individual loans are written off, at which point they are removed from the group.

Following method is used to calculate historical loss experience on a collective basis:

- Net Flow Rate

Under the methodology, loans are grouped into ranges according to the number of days in arrears and statistical analysis is used to estimate the likelihood that loans in each range will progress through the various stages of delinquency, and ultimately prove irrecoverable.

Current economic conditions and portfolio risk factors are also evaluated when calculating the appropriate level of allowance required covering inherent loss.

These additional macro and portfolio risk factors may include:

- recent loan portfolio growth and product mix,
- unemployment rates, Gross Domestic Production (GDP) growth, inflation
- exchange rates, interest rates
- changes in government laws and regulations

b. Held to Maturity Financial Assets

An impairment loss in respect of held to maturity financial assets measured at amortised cost is calculated as the difference between its carrying amount and the present value of future cash flows discounted at the asset's original EIR and is recognised in profit or loss. Interest on impaired asset continues to be recognised through the unwinding of discount. When a subsequent event caused the amount of impairment loss to decrease, the decrease in impairment loss is reversed through profit or loss.

4.1.10 (iii) Reversals of impairment

If the amount of an impairment loss decreases in a subsequent period, and the decrease can be related objectively to an event occurring after the impairment was recognised, the excess is written back by reducing the loan impairment allowance account accordingly. The write-back is recognised in the income statement.

4.1.10 (iv) Renegotiated Loans

The Company makes concessions or modifications to the original terms of loans as a response to the borrower's financial difficulties, rather than taking possession or to otherwise enforce collection of collateral. The Company considers a loan renegotiated when such concessions or modifications are provided as a result of the borrower's present or expected financial difficulties and the Company would not have agreed to them if the borrower had been financially healthy. Indicators of financial difficulties include defaults on covenants, or significant concerns raised by the Credit Risk Department. Renegotiated loans may involve extending the payment arrangements and the agreement of new loan conditions. Once the terms have been renegotiated, any impairment is measured using the original EIR as calculated before the modification of the terms. It is the Company's policy to monitor renegotiated loans to help ensure that future payments continue to be likely to occur. Derecognition decisions and classification between Stage 2 and Stage 3 are determined on a case-by-case basis. If these procedures identify a loss in relation to a loan, it is disclosed and managed as an impaired Stage 3 renegotiated asset until it collected or written off.

4.1.10 (v) Write-off of Financial Assets at Amortised Cost

The Company's accounting policy under SLFRS 9 remains the same as it was under LKAS 39. Financial Assets (and the related impairment allowance accounts) are normally written off, either partially or in full, when there is no realistic prospect of recovery. Where financial assets are secured, this is generally after receipt of any proceeds from the realisation of security.

4.1.10 (vi) Collateral Valuation

The Company seeks to use collateral, where possible, to mitigate its risks on financial assets. The collateral comes in various forms such as cash, gold, securities, letter of credit/guarantees, real estate, receivables, inventories, other non-financial assets and credit enhancements such as netting arrangements. The fair value of collateral is generally assessed, at a minimum, at inception and based on the guidelines issued by the Central Bank of Sri Lanka.

To the extent possible, the Company uses active market data for valuing financial assets, held as collateral. Other financial assets which do not have readily determinable market value are valued using models. Nonfinancial collateral, such as real estate, is valued based on data provided by third parties such as independent valuers, Audited Financial Statements and other independent sources.

4.1.10 (vii).Collateral repossessed

The Company's accounting policy under SLFRS 9 remains same as it was under LKAS 39. The Company's policy is to determine whether a repossessed asset can be best used for its internal operations or should be sold. Assets determined to be useful for the internal operations will be transferred to their relevant asset category at the lower of their repossessed value or the carrying value of the original secured asset.

4.1.10 (viii).Offsetting Financial Assets and Liabilities

Financial assets and financial liabilities are offset and the net amount reported in the Statement of Financial Position if, and only if, there is a currently enforceable legal right to offset the recognised amounts and there is an intention to settle on a net basis, or to realise the asset and settle the liability simultaneously. This is not generally the case with master netting agreements, therefore, the related assets and liabilities are presented gross in the Statement of Financial Position.

Income and expenses are presented on a net basis only when permitted under LKAS/ SLFRS, or for gains and losses arising from a group of similar transactions such as in the group's trading activity.

4.1.11 Other Financial Assets

Other Financial Assets includes the Other Receivables and Refundable Deposits. Refundable Deposits are initially recorded at Fair value and subsequently measured and amortized cost.

4.1.12 Other Financial Liabilities

Other Financial liabilities including Due to Customer (Deposits), Due to Banks, Debt issued and other borrowed funds are initially measured at fair value less transaction cost that are directly attributable to the acquisition and subsequently measured at amortised cost using the Effective Interest Rate method.

Amortised cost is calculated by taking in to account any discount or premium on the issue and costs that are an integral part of the Effective Interest Rate.

4.1.13 Borrowings

Borrowings obtained by the Company that are not designated at fair value through profit or loss, are classified as liabilities under 'Borrowings', where the substance of the contractual arrangement results in the Company having an obligation either to deliver cash or another financial asset to the holder, or to satisfy the obligation other than by the exchange of a fixed amount of cash or another financial asset for a fixed number of own equity instruments.

After initial measurement, borrowings are subsequently measured at amortised cost using the Effective Interest Rate. Amortised cost is calculated by taking into account any discount or premium on the issue and costs that are an integral part of the Effective Interest Rate.

4.2 Finance and Operating Lease

The determination of whether an arrangement is a lease or it contains a lease, is based on the substance of the arrangement and requires an assessment of whether the fulfilment of the arrangement is dependent on the use of a specific asset or assets and the arrangement conveys a right to use the asset.

4.2.1 Finance Lease

Agreements which transfer to counterparties substantially all the risks and rewards incidental to the ownership of assets, but not necessarily legal title, are classified as finance leases. When the Company is a lessor under finance leases the amounts due under the leases, after deduction of unearned charges, are included in 'Lease rentals receivables and stock out on hire. The finance income receivable is recognised in 'Net interest income' over the periods of the leases so as to give a constant rate of return on the net investment in the leases.

When the company is a lessee under finance leases, the leased assets are capitalised and included in 'Property, plant and equipment' and the corresponding liability to the lessor is included in 'Due to Banks'. A finance lease and its corresponding liability are recognised initially at the fair value of the asset or, if lower, the present value of the minimum lease payments. Finance charges payable are recognised in 'Net interest income' over the period of the lease based on the interest rate implicit in the lease so as to give a constant rate of interest on the remaining balance of the liability.

4.2.2 Operating Lease

All other leases are classified as operating leases. When acting as lessor, the Company includes the assets subject to operating leases in 'Property, plant and equipment' and accounts for them accordingly. Impairment losses are recognised to the extent that residual values are not fully recoverable and the carrying value of the assets is thereby impaired. When the Company is the lessee, leased assets are not recognised on the Statement of Financial Position. Rentals payable and receivable under operating leases are accounted for on a straight-line basis over the periods of the leases and are included in 'other operating expenses' and 'other operating income', respectively.

4.3 Real Estate Stock

Real Estate stock comprises all costs of purchase, cost of conversion and other costs incurred in bringing the real estate to its saleable condition.

Purchase Cost	-	Land Cost with Legal Charges.
Cost of Conversion	-	Actual Development Costs.

Real Estate stocks are valued at the lower of cost and net realisable value, after making due allowances for slow moving items. Net realisable value is the price at which the real estate stocks can be sold in the ordinary course of business less estimated cost necessary to make the sale

4.4 Non – Financial Assets**4.4.1 Property, Plant & Equipment**

Property, plant & equipment are tangible items that are held for servicing, or for administrative purposes, and are expected to be used during more than one year.

Property, Plant & Equipment are recognised if it is probable that future economic benefits associated with the asset will flow to the entity and the cost of the asset can be measured reliably in accordance with LKAS 16 on Property, Plant & Equipment. Initially property and equipment are measured at cost.

Basis of Recognition and Measurement**- Cost Model**

An item of property, plant & equipment that qualifies for recognition as an asset is initially measured at its costs. Costs include expenditure that is directly attributable to the acquisition of the asset and cost is incurred subsequently to add to or replace a part of it.

The cost of self-constructed assets includes the cost of materials and direct labour, any other costs directly attributable to bringing the asset to working condition for its intended use and the costs of dismantling and removing the items and restoring at the site on which they are located and capitalized borrowing costs.

When parts of property, plant & equipment have different useful lives, they are accounted for as separate items (major components) of property, plant & equipment.

The Company applies the cost model to property, plant & equipment and records at cost of purchase or construction together with any incidental expense thereon less accumulated depreciation and any accumulated impairment losses.

Changes in the expected useful life are accounted by changing the depreciation period or method, as appropriate, and treated as changes in accounting estimates.

Subsequent Cost

The subsequent cost of replacing a component of an item of property, plant and equipment is recognized in the carrying amount of the item if it is probable that the future economic benefits embodied within that part will flow to the Company and its cost can be reliably measured. The costs of the day to day servicing property, plant and equipment are charged to the Statement of Comprehensive Income.

Repairs and Maintenance

Repairs and maintenance are charged to the profit or loss during the financial period in which they are incurred. The cost of major renovations is included in the carrying amount of the assets when it is probable that future economic benefits in excess of the most recently assessed standard of performance of the existing assets will flow to the Company and the renovation replaces an identifiable part of the asset. Major renovations are depreciated during the remaining useful life of the related asset.

Depreciation

The provision for depreciation is calculated by using the straight line method over the useful life of the assets on cost or valuation of the Property & Equipment other than freehold land, commencing from when the assets are available for use. The rates of depreciations are given below;

Asset Category	Rate of Depreciation (per annum)
• Furniture & Fittings	12.5% - 33.33%
• Office Equipment	12.5%
• Motor Vehicle	12.5%
• Computer Equipment	25%

The asset's residual values, useful lives and methods of depreciation are reviewed, and adjusted if appropriate, at each financial year end.

De-recognition

Property and equipment is derecognised on disposal or when no future economic benefits are expected from its use. Any gain or loss arising on derecognition of the asset (calculated as the difference between the net disposal proceeds and the carrying amount of the asset) is recognised in 'Other operating income' in the income statement in the year the asset is derecognised.

Upon disposal, any revaluation reserve relating to the particular asset being sold is transferred to retained earnings.

4.4.2 Intangible Assets

The Company's intangible assets include the value of computer software.

Basis of Recognition

An intangible asset is recognised only when its cost can be measured reliably and it is probable that the expected future economic benefits that are attributable to it will flow to the company in accordance with the Sri Lanka Accounting Standard LKAS 38 on Intangible Assets.

Intangible assets acquired separately are measured on initial recognition at cost. The cost of intangible assets acquired in business combination is their fair value as at the date of acquisition. Following initial recognition, intangible assets are carried at cost less any accumulated amortisation and accumulated impairment losses if any.

Subsequent Expenditure

Subsequent expenditure on Intangible Asset is capitalized only when it increases the future economic benefits embodied in the specific asset to which it relates. All other expenditure is expensed as incurred.

Useful Economic life, Amortization and Impairment

The useful lives of intangible assets are assessed to be either finite or indefinite.

Intangible assets with finite lives are amortised over the useful economic life. The amortisation period and the amortisation method for an intangible asset with a finite useful life are reviewed at least at each financial year-end. Changes in the expected useful life or the expected pattern of consumption of future economic benefits embodied in the asset are accounted for by changing the amortisation period or method, as appropriate, and they are treated as changes in accounting estimates. The amortisation expense on intangible assets with finite lives is recognised in the income statement in the expense category consistent with the function of the intangible asset.

Amortization

Amortisation is calculated using the straight-line method to write down the cost of intangible assets to their residual value over their estimated useful life as follows:

Asset Category	Useful life
• Computer software	10 Years

The residual value of the intangible asset is zero.

The unamortized balances of Intangible assets with finite lives are reviewed for impairment whenever there is an indication for impairment and recognised in profit or loss to the extent that they are no longer probable of being recovered from the expected future benefits.

Derecognition

Intangible assets are derecognised on disposal or when no future economic benefits are expected from their use. Any gain or loss arising on derecognition of the asset, Calculated as the difference between the net disposal proceeds and the carrying amount of the asset) is recognised in the profit or loss in the year the asset is derecognised.

4.4.3 Impairment of Non Financial Assets

The Company assesses at each reporting date whether there is an indication that an asset may be impaired. If any indication exists, or when annual impairment testing for an asset is required, the company estimates the asset's recoverable amount. An asset's recoverable amount is the higher of an asset's or Cash Generating unit's (CGU) fair value less costs to sell and its value in use. Where the carrying amount of an asset or CGU exceeds its recoverable amount, the asset is considered impaired and is written down to its recoverable amount.

In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. In determining fair value less costs to sell, an appropriate valuation model is used. These calculations are corroborated by valuation multiples, quoted share prices for publicly traded subsidiaries or other available fair value indicators.

4.5 Retirement Benefit Obligations**(i) Defined Benefit Plan - Gratuity**

All the employees of the company are eligible for gratuity under the Payment of Gratuity Act No. 12 of 1983, at the rate of one half of the Gross Salary applicable to the last month of the financial year in which the employment is terminated or resigned, for each year of completed service, for those who have served in excess of 5 years.

The Company measures the present value of the promised retirement benefits for gratuity which is a defined benefit plan with the advice of an independent professional actuary using projected unit credit actuarial cost method as required by Sri Lanka Accounting Standard – LKAS 19 on “Employee Benefits”.

The item is stated under other liabilities in the Statement of Financial Position.

Recognition of Actuarial Gains and Losses

Actuarial gains and losses are recognized in Other Comprehensive Income in the year in which they arise.

Interest Cost

Interest cost is the expected increase due to interest during the period in the present value of the planned liabilities because the benefits are one year closer to settlement

Recognition of Past Service Cost (Applicable only when a plan has been changed)

Past Service Costs are recognized as an expense on a straight line basis over the average period until the benefits become vested. If the benefits have already been vested, immediately following the introduction of, or changes to the plan, past service costs are recognized immediately.

Funding Arrangements

The Gratuity liability is not externally funded.

4.5.2 Defined Contribution Plans

The Company also contributes defined contribution plans. The contribution payable to a defined contribution plan is in proportion to the services rendered to the Company by the employees and is recorded as an expense under ‘Personnel expenses’. Unpaid contributions are recorded as a liability.

The Company contributes to the following Schemes:

Employees' Provident Fund

The Company and employees contribute 12% and 8% respectively of the employee's total earnings (as defined in the Employees' Provident Fund) to the Employees' Provident Fund.

Employees' Trust Fund

The Company contributes 3% of the employee's total earnings (as defined in the Employees' Trust Fund) to the Employees' Trust Fund.

4.6 Provisions

Provisions are recognized when the Company has a present obligation (legal or constructive) as a result of a past event, where it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation in accordance with Sri Lanka Accounting Standard– LKAS 37 on 'provision, contingent liabilities and contingent assets'.

The amount recognised is the best estimate of the consideration required to settle the present obligation at the reporting date, taking into account the risks and uncertainties surrounding the obligations at that date.

When the Company expects some or all of a provision to be reimbursed, the reimbursement is recognised as a separate asset but only when the reimbursement is virtually certain.

The expense relating to any provision is presented in the income statement net of any reimbursement.

4.7 Recognition of Interest Income Interest Expense

4.7.1 Interest income and Interest Expense

Under both SLFRS 9 and LKAS 39, interest income and interest expense is recorded using the effective interest rate (EIR) method for all financial instruments measured at amortised cost. Similarly to interest bearing financial assets classified as available-for-sale or held to maturity under LKAS 39 is also recorded by using the EIR method. The EIR is the rate that exactly discounts estimated future cash payments or receipts through the expected life of the financial instrument or, when appropriate, a shorter period, to the net carrying amount of the financial asset or financial liability.

The EIR (and therefore, the amortised cost of the asset/liability) is calculated by taking into account any discount or premium on acquisition, fees and costs that are an integral part of the EIR. The Company recognises interest income/expense using a rate of return that represents the best estimate of a constant rate of return over the expected life of the loan. Hence, it recognises the effect of potentially different interest rates charged at various stages, and other characteristics of the product life cycle (including prepayments, penalty interest and charges).

If expectations regarding the cash flows on the financial asset/liability are revised for reasons other than credit risk, the adjustment is booked as a positive or negative adjustment to the carrying amount of the asset in the Statement of Financial Position with an increase or reduction in interest income/interest expense. The adjustment is subsequently amortised through Interest income/Interest expense in the income statement.

When a financial asset becomes credit-impaired (as set out in Note 40.4.1 (a)) and is, therefore, regarded as 'Stage 3', the Company calculates interest income by applying the effective interest rate to the net amortised cost of the financial asset. If the financial assets cures and is no longer credit-impaired, the Company reverts to calculating interest income on a gross basis.

Interest income on all trading assets and financial assets mandatorily required to be measured at FVPL is recognised using the contractual interest rate under net interest income.

4.7.2 Interest Income on Overdue Rentals

Interest from overdue rentals has been accounted when they are received.

4.8 Fee and Commission Income and Expenses

Fee and commission income and expense that are integral to the effective interest rate on a financial asset or financial liability are included in the effective interest rate.

Fee and Commission income – including account Credit related fees & commission, Service charge, Transfer Fees and other fees income – is recognised as the related services are performed. If a loan commitment is not expected to result in the draw-down of a loan, then the related loan commitment fee is recognised on a straight-line basis over the commitment period.

Fees earned for the provision of services over a period of time are accrued over that period

Other fee and commission expenses relate mainly to transaction and service fees, which are expensed as the services are received.

4.9 Dividend Income

Dividend income is recognised when the right to receive income is established.

4.10 Income from Government Securities and Securities purchased under Re-Sale Agreement

Discounts/ premium on Treasury bills & Treasury bonds are amortised over the period to reflect a constant periodic rate of return. The coupon interest on treasury bonds is recognised on an accrual basis. The interest income on securities purchased under resale agreement is recognised in the Income Statement on an accrual basis over the period of the agreement.

4.11 Commission on Insurance

Commission on Insurance has been recognized when those are received.

4.12 Net Trading Income

Net trading income includes all gains and losses from changes in fair value and related dividends for financial assets and financial liabilities 'held for trading' other than interest income.

4.13 Recovery of Bad Debts Written Off

Recovery of amounts written off as bad and doubtful debts is recognised upon received.

4.14 Personnel Expenses

Short term employee benefit obligations are measured on an undiscounted basis and are expensed as the related service is provided. A liability is recognized for the amount expected to be paid under short term cash bonus or profit-sharing plans if the Company has a present legal or constructive obligation to pay all employee benefits relating to employee services in the current and prior periods and the obligation can be estimated reliably.

4.15 Other Operating Expenses

Other operating expenses are recognized in the Statement of Comprehensive Income on the basis of a direct association between the cost incurred and the earnings of the specific items of the income. All the expenditure incurred in the running business and in maintaining the property, plant and equipment in a state of efficiency has been charged to the Statement of Comprehensive Income in arriving at the profit of the year.

4.16 Taxes

As per Sri Lanka Accounting Standard –LKAS 12(Income Taxes),tax expense is the aggregate amount included in determination of profit or loss for the period in respect of current and deferred taxation. Income tax expense is recognised in the Income Statement, except to the extent it relates to items recognised directly in equity or other comprehensive income in which case it is recognised in equity or in other comprehensive income.

4.16.1 Current tax

Current tax assets and liabilities consist of amounts expected to be recovered from or paid to the Commissioner General of Inland Revenue in respect of the current year, using the tax rates and tax laws enacted or substantially enacted on the reporting date and any adjustment to the tax payable in respect of prior years.

Accordingly, provision for taxation is based on the profit for the year 2018 adjusted for taxation purposes in accordance with the provisions of the Inland Revenue Act No. 24 of 2017(Inland Revenue Act No.10 of 2006 and amendments thereto up to 31 March 2018) and the amendment thereto, at the rate specified in 15to the Financial Statements.

Current tax relating to items recognised directly in equity is recognised in equity and ot in the Statement of Comprehensive Income.

4.16.2 Deferred tax

Deferred tax is provided, using the liability method, on temporary differences at the reporting date between the tax bases of assets and liabilities and their carrying amounts for financial reporting purposes.

Deferred tax liabilities are recognised for all taxable temporary differences except where the deferred income tax liability arises from the initial recognition of an asset or liability in a transaction that is not a business combination and, at the time of the transaction, affects neither the accounting profit nor taxable profit or loss.

Deferred income tax assets are recognised for all deductible temporary differences, carry-forward of unused tax assets and unused tax losses, to the extent that it is probable that taxable profit will be available against which the deductible temporary differences, and the carry-forward of unused tax assets and unused tax losses can be utilised except where the deferred income tax asset relating to the deductible temporary difference arises from the initial recognition of an asset or liability in a transaction that is not a business combination and, at the time of the transaction, affects neither the accounting profit nor taxable profit or loss.

The carrying amount of deferred income tax assets is reviewed at each reporting date and reduced to the extent that it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred income tax asset to be utilised.

Deferred income tax assets and liabilities are measured at the tax rates that are expected to apply to the year when the asset is realised or the liability is settled, based on tax rates (and tax laws) that have been enacted or substantively enacted at the reporting date.

Deferred income tax relating to items recognised directly in equity is recognised in equity and not in the Statement of Comprehensive Income.

4.16.3 Value Added Tax (VAT) on Financial Services

VAT on Financial Services is calculated in accordance with Value Added Tax Act No 14 of 2002 and subsequent amendments thereto. The base for the computation of Value Added Tax on Financial Services is the accounting profit before VAT and income tax adjusted for the economic depreciation and emoluments of employees including cash, Non-cash benefits and provisions relating to terminal benefits, computed on prescribed rate.

4.16.4 Economic Service Charge (ESC)

As per provisions of the Economic Service Charge (ESC) Act No. 13 of 2006 and subsequent amendments thereto, ESC is payable on aggregate turnover of the Company at 0.5% and is deductible from income tax payable. Unclaimed ESC, if any, can be carried forward and set-off against the income tax payable in the three subsequent years.

ESC is not payable on turnover on which income tax is payable.

4.16.5 Nation Building Tax (NBT) on Financial Services

NBT on financial services is calculated in accordance with Nation Building Tax (NBT) Act No 9 of 2009 and subsequent amendments thereto with effect from 01 January 2014. NBT on financial services is calculated as 2% of the value addition used for the purpose of VAT on financial services.

4.16.6 Debt Repayment Levy

As per the provisions of the Finance Act No.35 of 2018, Debt repayment levy has been imposed for a limited period from 01 October 2018 to 31 December 2021.

A levy of 7% is charged monthly on the value addition attributable to the supply of financial services as specified in section 36 of Finance Act No. 35 of 2018 along with section 25C of the Value Added Tax (VAT) Act No. 14 of 2002.

4.16.7 Withholding Tax (WHT) on Dividends

Withholding tax on dividends distributed by the Company that arise from the distribution of dividends of the company is recognised at the time of liability to pay the related dividend is recognized. At present, the rate of 14 % (Up to 31 March 2018-10%) is deducted at source.

4.17 Segment Reporting

The Company's segmental reporting is based on the following operating segments identified based on products and services;

- Leasing
- Hire Purchase
- Term Loans
- Others

A segment is a distinguishable component of a Company that is engaged in providing products and services. (Business segment, which is subject to risks and rewards that are different from those of other segments). Segment results, assets and liabilities include items directly attributable to a segment as well as those that can be allocated on a reasonable basis.

The accounting policies adopted for segment reporting are those accounting policies adopted for preparing the financial statements of the Company.

4.18 Regulatory provisions**a. Statutory Reserve Fund**

The statutory reserve fund is maintained as required by Finance Companies (Capital Funds) Direction No.1 of 2003 issued by Central Bank of Sri Lanka. As per the said Direction, every Registered Finance Company shall maintain a reserve fund, out of the net profit for each year after provisions for taxation and bad and doubtful debts. Accordingly 20% of the net profit for the year transferred to Reserve Fund as required by Section 3(b) ii of the said Direction.

b. Deposit Insurance and Liquidity Support Scheme

In terms of the Finance Company's Act Direction No 2 of 2010 "Insurance of Deposit Liabilities" issued on 27 September 2010 and subsequent amendments there to all Registered Finance Companies are required to insure their deposit liabilities in the Deposit Insurance Scheme operated by the Monetary Board in terms of Sri Lanka Deposit Insurance Scheme Regulations No 1 of 2010 issued under Sections 32E of the Monetary Law Act with effect from 1 October 2010. The said scheme was renamed as the "Sri Lanka Deposit Insurance and Liquidity Support Scheme" as per the Sri Lanka Deposit Insurance and Liquidity Support Scheme Regulation No 1 of 2013.

Deposits to be insured include demand, time and savings deposit liabilities and exclude the following;

- a) Deposit liabilities to member institutions
- b) Deposit liabilities to Government of Sri Lanka
- c) Deposit liabilities to Directors, key management personnel and other related parties as defined in Banking Act Direction No 11 of 2007 on Corporate Governance of Licensed Commercial Banks
- d) Deposit liabilities held as collateral against any accommodation granted
- e) Deposit liabilities falling within the meaning of abandoned property in terms of the Banking Act and dormant deposits in terms of the Finance Companies Act funds of which have been transferred to Central Bank of Sri Lanka

Registered Finance Companies are required to pay a premium of 0.15% on total amount of eligible deposits as at end of the month with in a period of 15 days from the end of the respective month

c. Crop Insurance Levy (CIL)

In terms Section 15 of the Finance Act No 12 of 2013 all institutions under the purview of Banking Act No 30 of 1988, Finance Companies Act No 78 of 1988 and Regulation of Insurance Industry Act No 43 of 2000 are required to pay 1% of the profit after tax as Crop Insurance Levy to the National Insurance Trust Fund Board effective from 01 April 2013.

4.19 Earnings per Share (EPS)

Basic EPS is calculated by dividing the net profit or loss attributable to ordinary equity shareholders of the Company by the weighted average number of ordinary shares outstanding during the period. Diluted EPS is determined by adjusting the profit or loss attributable to ordinary shareholders and the weighted average number of ordinary shares outstanding for the effects of all dilutive potential ordinary shares if any.

5. SRI LANKA ACCOUNTING STANDARDS EFFECTIVE FROM 01 JANUARY 2019

The following Sri Lanka Accounting Standards have been issued by the Institute of Chartered Accountants of Sri Lanka which have been effective from 01 January 2019. The Company intends to adopt these standards, if applicable.

A. SLFRS 16- LEASES

SLFRS 16 sets out the principles for the recognition, measurement, presentation and disclosure of leases for both parties to a contract, i.e. the customer ('lessee') and the supplier ('lessor'). SLFRS 16 will replace Sri Lanka Accounting Standard – LKAS 17 (Leases) and related interpretations.

SLFRS 16 eliminates the current dual accounting model for leases which distinguishes between On-Balance Sheet finance leases and Off-Balance Sheet operating leases. Instead there will be a single On-Balance Sheet accounting model that is similar to current finance lease accounting.

SLFRS 16 is effective for Annual Reporting periods beginning on or after 01 January 2019.

The Company is in the process of assessing the potential impact on its Financial Statements resulting from the application of SLFRS 16

Leases in which the Company is a lessee

The actual impact of applying SLFRS 16 on the financial statements in the period of initial application will depend on future economic conditions, the development of the Company's lease portfolio, the Company's assessment of whether it will exercise any lease renewal options and the extent to which the Company chooses to use practical expedients and recognition exemptions.

The new standard requires a lessee to:

- Recognize assets and liabilities for all leases with a term of more than 12 months, unless the underlying asset is of low value.
- Present depreciation of lease assets separately, from interest on lease liabilities in the income statement.

SLFRS – 16 substantially carries forward the lessor accounting requirement in LKAS – 17. Accordingly, a lessor continues to classify its leases as operating leases or finance leases, and to account for those two types of leases differently.

The Company will recognise new assets and liabilities for its operating leases of branch and office premises. The nature of expenses related to these leases will now change because SLFRS 16 replaces the straight-line operating lease expense with a depreciation charge for right-of-use assets and interest expense on lease liabilities.

No significant impact is expected for the Company's finance leases.

Transition

The Company plans to apply SLFRS 16 initially on 1 April 2019, using a modified retrospective approach. Therefore, the cumulative effect of adopting SLFRS 16 will be recognised as an adjustment to the opening balance of retained earnings at 1 April 2019, with no restatement of comparative information.

The impact on the implementation of the above Standard has not been quantified yet.

NOTES TO THE FINANCIAL STATEMENTS

Year ended 31 March 2019

5. TRANSITION DISCLOSURES

5.1 The following set out the impact of adopting SLFRS 9 on the Statement of Financial Position, and retained earnings including the effect of replacing LKAS 39's incurred loss calculations with SLFRS 9's expected credit losses.

A reconciliation between the carrying amounts under LKAS 39 to the balances reported under SLFRS 9 as of 01 April 2018 is, as follows.

	Reference	LKAS 39 Measurement		Reclassification	Remeasurement		SLFRS 9	
		Category	Amount		ECL	Other	Amount	Category
			Rs.		Rs.	Rs.	Rs.	Rs.
Assets								
Cash and Bank Balances		L&R	405,474,541	-	(220,652)	-	405,253,890	Amortized Cost
Placement With Banks		L&R	550,601,090	-	(103,621)	-	550,497,469	Amortized Cost
Repurchase Agreements		L&R	362,248,075	-	-	-	362,248,075	Amortized Cost
Loans and Advances		L&R	2,447,085,638	-	(26,250,471)	-	2,420,835,167	Amortized Cost
Lease rentals receivable & Stock out on hire		L&R	4,547,537,098	-	(57,975,738)	-	4,489,561,360	Amortized Cost
Financial Investments - Available for Sale	A	AFS	80,400	(80,400)	-	-	-	
Equity instruments at fair value through OCI	A		-	80,400	-	-	80,400	FVOCI
Financial Investments - Held to Maturity	B	HTM	239,630,135	(239,630,135)	-	-	-	
Debt instruments at amortised cost	B		-	239,630,135	-	-	239,630,135	Amortized Cost
Other Financial Assets		L&R	89,429,809	-	1,665,819	-	91,095,628	Amortized Cost
Real Estate Stock			58,049,675	-	-	-	58,049,675	
Other Non Financial Assets			74,538,359	-	-	-	74,538,359	
Tax Recoverable			19,422,858	-	-	-	19,422,858	
Property, Plant & Equipment			89,641,860	-	-	-	89,641,860	
Intangible Assets			21,098,350	-	-	-	21,098,350	
Deferred Tax Assets	C		52,586,166	-	23,207,706	-	75,793,871	
Total Assets			8,957,424,054	-	(59,676,957)	-	8,897,747,097	
Liabilities								
Due to Banks		Amortized Cost	218,381,026	-	-	-	218,381,026	Amortized Cost
Due to Customers		Amortized Cost	6,615,159,367	-	-	-	6,615,159,367	Amortized Cost
Debt Instruments Issued and Other Borrowed Funds		Amortized Cost	-	-	-	-	-	Amortized Cost
Other Financial Liabilities		Amortized Cost	525,278,976	-	-	-	525,278,976	Amortized Cost
Other Non Financial Liabilities			12,064,037	-	-	-	12,064,037	
Retirement Benefit Liability			18,912,720	-	-	-	18,912,720	
Total Liabilities			7,389,796,126	-	-	-	7,389,796,126	
Shareholders' Funds								
Stated Capital			1,121,412,955	-	-	-	1,121,412,955	
Statutory Reserve Fund			108,239,567	-	-	-	108,239,567	
Retained Earnings			337,975,406	-	(59,676,957)	-	278,298,449	
Total Shareholders' Funds			1,567,627,928	-	(59,676,957)	-	1,507,950,971	
Total Liabilities and Shareholders' Funds			8,957,424,054	-	(59,676,957)	-	8,897,747,097	

L&R :Loans & receivables

AFS :Available-for-sale

HTM :Held-to-maturity

FVOCI:Fair value through other comprehensive income

A. Financial assets previously classified under available for sale category have been reclassified as financial assets fair value through other comprehensive income (FVOCI) upon adoption of SLFRS 9.

B. As of 01 April 2018, the Company elected to classify its previous held to maturity financial investments as debt instruments measured at amortised cost since these instruments met the "Solely Payments of Principal and Interest" (SPPI) criterion.

C. The impact of adopting SLFRS 9 on deferred tax is set out under Note 5.2 to the Financial Statements.

NOTES TO THE FINANCIAL STATEMENTS

Year ended 31 March 2019

5. TRANSITION DISCLOSURES (Contd...)**5.2** The impact of transition to SLFRS 9 on retained earnings, is as follows.

	Retained Earnings Rs.
Closing balance under LKAS 39 as at 31 March 2018	337,975,406
Remeasurement adjustments on adoption of SLFRS 9	
Impact of expected credit losses under SLFRS 9	(82,884,663)
Deferred tax impact on above	23,207,706
Total change in equity due to adoption of SLFRS 9	(59,676,957)
Opening balance under SLFRS 9 as at 01 April 2018	<u>278,298,449</u>

5.3 The following table reconciles the aggregate opening loan loss provision allowances under LKAS 39 to the ECL allowances under SLFRS 9.

	Note	Loan loss provision under LKAS 39 as at 31 March 2018 Rs.	Remeasurement Rs.	ECLs under SLFRS 9 as at 01 April 2018 Rs.
Cash and Bank Balances	17.1	-	220,652	220,652
Placement With Banks	18.1	-	103,621	103,621
Loans and Advances	20.2	171,460,468	26,250,471	197,710,939
Lease rentals receivable & Stock out on hire	21.2	320,130,687	57,975,738	378,106,424
Other Financial Assets	24.2	19,698,194	(1,665,819)	18,032,375
		<u>511,289,349</u>	<u>82,884,663</u>	<u>594,174,012</u>

NOTES TO THE FINANCIAL STATEMENTS

Year ended 31 March 2019

6. INCOME	2019 Rs.	2018 Rs.
Interest Income	1,820,102,486	1,711,585,707
Fee & Commission Income	144,729,403	185,717,691
Net Gain/(Loss) from Trading	206,400	1,676,964
Other Operating Income	13,510,601	18,690,232
	<u>1,978,548,890</u>	<u>1,917,670,594</u>
6.1 Interest Income		
Loans and Advances	467,140,076	519,241,077
Lease Rentals Receivable & Stock out on Hire	1,234,252,136	1,047,044,191
Financial Investments in Government Securities	46,574,875	76,205,802
Other Financial Assets	4,815,757	11,604,992
Placement with Banks	67,319,642	57,489,645
Total Interest Income	<u>1,820,102,486</u>	<u>1,711,585,707</u>
Interest income on Loans and Advances and Lease Rentals Receivable & Stock out on Hire includes interest income accrued on impaired Financial Assets amounting to Rs.180,164,072/- (2017/2018 -Rs.33,947,010/-).		
6.2 Interest Expenses		
Due to Banks	34,819,975	25,862,725
Due to Customers	804,884,530	787,731,513
Debt Instruments Issued and Other Borrowed Funds	20,621,567	-
Total Interest Expenses	<u>860,326,072</u>	<u>813,594,238</u>
7. NET FEE AND COMMISSION INCOME	2019 Rs.	2018 Rs.
7.1 Fee and Commission Income		
Credit Related Fees and Commissions	43,002,032	28,420,361
Service Charge	90,619,841	149,980,969
Transfer Fees	10,762,988	6,701,763
Other Fees	344,542	614,598
Total Fee and Commission Income	<u>144,729,403</u>	<u>185,717,691</u>
7.2 Fee and Commission Expenses		
Brokerage Fees	74,074,243	143,550,479
Total Fee and Commission Expenses	<u>74,074,243</u>	<u>143,550,479</u>
Net Fee and Commission Income	<u>70,655,160</u>	<u>42,167,212</u>
8. NET GAIN/(LOSS) FROM TRADING	2019 Rs.	2018 Rs.
Dividend Income from Financial Investments - Held for Trading	206,400	283,453
Appreciation/ (Depreciation) in Market Value of Financial Investments - Held for Trading	-	1,561,557
Profit /(Loss) on sale of Financial Investments - Held for Trading	-	(168,046)
	<u>206,400</u>	<u>1,676,964</u>

NOTES TO THE FINANCIAL STATEMENTS

Year ended 31 March 2019

9. OTHER OPERATING INCOME	2019 Rs.	2018 Rs.
Profit/(loss) on disposal of Property & Equipment	-	1,182,865
Bad Debt Recoveries	12,853,574	12,974,722
Rent Income	179,694	2,877,416
Others	477,333	1,655,229
Total Other Operating Income	13,510,601	18,690,232

10. CREDIT LOSS EXPENSE ON FINANCIAL ASSETS AND OTHER LOSSES

10.1 The table below shows the expected credit loss (ECL) charges for Financial Instruments for the year 2018/2019 recorded in the income statement.

	Stage 01 Rs.	Stage 02 Rs.	Stage 03 Rs.	Total Rs.
Cash and Bank Balances	(173,433)	-	-	(173,433)
Placement With Banks	(49,676)	-	-	(49,676)
Loans and Advances	(42,553,463)	640,634	56,460,110	14,547,281
Lease Rentals Receivable & Stock Out on Hire	(2,538,295)	41,573,872	164,864,766	203,900,344
Other Debtors	-	-	83,756,458	83,756,458
	(45,314,867)	42,214,506	305,081,334	301,980,973

10.2 The following shows the impairment charges recorded in the Income Statement under LKAS 39 during the year 2017/2018

	Individual Rs.	Collective Rs.	Total Rs.
Loans and Advances	21,668,084	30,850,997	52,519,081
Lease Rentals Receivable & Stock Out on Hire	22,157,800	11,060,134	33,217,934
Other Debtors	(24,135,930)	161,501,034	137,365,104
	19,689,954	203,412,165	223,102,119

11. PERSONNEL COSTS	2019 Rs.	2018 Rs.
Salaries and Bonus	170,454,233	185,360,613
Employer's Contribution to EPF	20,729,620	19,642,827
Employer's Contribution to ETF	5,182,405	4,910,707
Gratuity Charge/ (Reversals) for the Year (Note 35.1)	5,242,795	5,667,867
Other Allowances & Staff Related Expenses	38,027,951	40,812,667
	239,637,004	256,394,681

12. DEPRECIATION & AMORTIZATION	2019 Rs.	2018 Rs.
Depreciation of Property Plant & Equipment	23,209,418	20,670,196
Amortization of intangible assets	3,745,812	2,974,290
	26,955,230	23,644,486

NOTES TO THE FINANCIAL STATEMENTS

Year ended 31 March 2019

13. OTHER OPERATING EXPENSES	2019	2018
	Rs.	Rs.
Directors' Emoluments	16,371,402	11,342,750
Auditors Remuneration		
- Audit	656,194	1,044,150
-Non Audit	357,500	900,000
Professional & Legal Expenses	20,183,153	14,127,605
Office Administration & Establishment Expenses	150,439,586	141,732,264
Advertising & Business Promotion Expenses	45,423,013	38,665,917
Deposit Insurance premium	7,789,620	8,170,756
Others	53,193,497	49,797,213
	<u>294,413,965</u>	<u>265,780,655</u>
14. TAXES ON FINANCIAL SERVICES	2019	2018
	Rs.	Rs.
Value added tax on financial services	47,642,044	52,011,349
Nation building tax on financial services	6,352,273	6,643,161
Debt repayment levy on financial services	16,287,533	-
	<u>70,281,850</u>	<u>58,654,511</u>
15. TAXATION		
15.1 The major components of income tax expense for the years ended 31 March are as follows.		
	2019	2018
	Rs.	Rs.
(A) Statement of Profit or Loss		
Current Income Tax		
Income Tax for the year	48,060,260	32,522,382
Deferred Tax		
Deferred Taxation Charge/ (Reversal) (Refer Note 29)	39,097,970	5,563,356
	<u>87,158,230</u>	<u>38,085,738</u>
(B) Other Comprehensive Income		
Deferred Tax		
Deferred Taxation Charge/ (Reversal) (Refer Note 29)	928,655	(349,197)
	<u>928,655</u>	<u>(349,197)</u>
(C) Total Tax Expense for the year	<u>88,086,885</u>	<u>37,736,541</u>
15.2 Reconciliation of Accounting Profit and Taxable Income		
A reconciliation between the tax expense and the accounting profit multiplied by government of Sri Lanka's tax rate for the Years ended 31 March 2019 and 2018 is as follows.		
	2019	2018
	Rs.	Rs.
Accounting Profit Before Income Taxation	110,879,553	132,949,426
Adjustments		
Capital Portion of Leasing Rental Due	1,720,485,136	1,630,462,901
Non-taxable Income/ Losses	(206,400)	(494,099)
Disallowable Expenses	137,322,724	239,416,256
Allowable Expenses	(1,591,485,515)	(2,091,534,833)
Total Statutory Income	376,995,499	(89,200,349)
Claim on Carried Forward Tax Losses	(205,351,711)	205,351,711
Taxable Income	171,643,788	116,151,363
Income Tax Rate (%)	28%	28%
Income Tax	48,060,260	32,522,382
Deferred Taxation Charge/(Reversal) (Note 29)	39,097,970	5,563,356
Total Tax Expense (Note 15.1 (A))	<u>87,158,230</u>	<u>38,085,738</u>
Effective tax rate	79%	29%

16. EARNINGS PER ORDINARY SHARE

The Company presents basic and diluted Earnings per Share (EPS) data for its ordinary shares. Basic earnings per share is calculated by dividing the profit or loss attributable to ordinary equity share holders of the Company by the weighted average number of ordinary shares outstanding during the year. Diluted EPS is determined by adjusting both the profit attributable to the ordinary equity share holders and the weighted average number of ordinary shares outstanding, for the effects of all dilutive potential ordinary shares if any.

16.1 Earnings per Share: Basic / Diluted	2019 Rs.	2018 Rs.
Amount used as the numerator		
Profit after tax for the year attributable to equity holders (Rs.)	23,721,323	94,863,688
No. of ordinary shares used as the denominator		
Weighted average number of ordinary shares (Note 16.1.1)	66,561,573	65,733,693
Basic / diluted earnings per ordinary share (Rs.)	<u>0.36</u>	<u>1.44</u>

	Outstanding No. of Shares 2019	2018	Weighted Average No. of Shares 2019	2018
16.1.1 Weighted Average Number of Ordinary Shares for Basic / Diluted EPS				
Number of shares in issue as at 1st April	66,561,573	55,467,978	66,561,573	55,467,978
Add : Number of shares issued under rights issue 2017/2018	-	11,093,595	-	9,106,682
Add : Bonus element on number of shares issued under rights issue 2017/2018	-	-	-	1,159,033
Number of shares in issue / weighted average number of shares as at 31st March	<u>66,561,573</u>	<u>66,561,573</u>	<u>66,561,573</u>	<u>65,733,693</u>

17. CASH AND BANK BALANCES	2019 Rs.	2018 Rs.
Cash in Hand	140,409,957	58,406,720
Balances with Banks	123,154,946	347,067,821
Less: Allowance for expected credit losses	(47,219)	-
	<u>263,517,684</u>	<u>405,474,541</u>

17.1 The movement in provision for expected credit losses are as follows.	2019 Rs.	Rs.
	Stage 01	Total
Balance as at 01 April 2018	220,652	220,652
Charge/(Reversal) to Income Statement	(173,433)	(173,433)
Balance as at 31 March 2019	<u>47,219</u>	<u>47,219</u>

17.1 Cash and Cash Equivalents in the Cash Flow Statement	2019 Rs.	2018 Rs.
Cash and Bank Balances	263,564,903	405,474,541
Bank Overdrafts	(128,421,459)	(8,658,861)
Treasury Bills and Repurchase Agreements	281,537,224	362,248,075
Placement with Banks	234,820,305	249,673,957
Total Cash and Cash Equivalents for the purpose of Cash Flow Statements	<u>651,500,973</u>	<u>1,008,737,712</u>

NOTES TO THE FINANCIAL STATEMENTS

Year ended 31 March 2019

18. PLACEMENT WITH BANKS

	2019 Rs.	2018 Rs.
Fixed Deposit Investments	249,712,962	550,601,090
Less: Allowance for expected credit losses	(53,945)	-
	<u>249,659,017</u>	<u>550,601,090</u>

18.1 The movement in provision for expected credit losses are as follows.

	2019 Rs. Stage 01	Rs. Total
Balance as at 01 April 2018	103,621	103,621
Charge/(Reversal) to Income Statement	(49,676)	(49,676)
Balance as at 31 March 2019	<u>53,945</u>	<u>53,945</u>

Fixed Deposit Investments include Investments amounting to Rs.48,725,317/- that have been Pledged for facilities obtained from Banks.

19. SECURITIES PURCHASED UNDER REPURCHASE AGREEMENT

	2019 Rs.	2018 Rs.
Repurchased Agreements	281,537,224	362,248,075
	<u>281,537,224</u>	<u>362,248,075</u>

20. LOANS AND ADVANCES

	2019 Rs.	2018 Rs.
Real Estate Loans	2,647,670	2,994,278
Mortgage Loans	329,013,622	586,369,059
Personnel Loans	842,262,706	301,743,047
Loans against Fixed Deposits	138,274,158	145,764,194
Staff Loans	51,052,155	41,841,032
Revolving Loans	99,205,632	133,301,535
Business Loans	609,462,122	815,306,787
Other Loans	238,534,915	563,414,822
	<u>2,310,452,980</u>	<u>2,590,734,754</u>
Other Charges Receivable	29,381,411	27,811,352
	<u>2,339,834,391</u>	<u>2,618,546,106</u>
Less : Allowance for Impairment Losses (Note 20.1)	(212,053,803)	(171,460,468)
Net Loans and Advances	<u>2,127,780,588</u>	<u>2,447,085,638</u>

20.1 Analysis of Loans and Advances on Maximum Exposure to credit Risk as at 31 March 2019

	Stage 01 Rs.	Stage 02 Rs.	Stage 03 Rs.	Total Rs.
Individually Impaired Loans and Advances	-	-	795,702,286	795,702,286
Loans and Advances subject to Collective Impairment	966,872,613	216,253,636	361,005,856	1,544,132,105
Allowances for Expected Credit Losses	(12,874,716)	(17,942,647)	(181,236,440)	(212,053,803)
	<u>953,997,897</u>	<u>198,310,989</u>	<u>975,471,702</u>	<u>2,127,780,588</u>

NOTES TO THE FINANCIAL STATEMENTS

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20.2 Allowance for Impairment Losses

	2019 Rs.	2018 Rs.
As at 01 April	171,460,468	110,577,470
Impact on Adoption of SLFRS 09 as at 01 April 2018 (Note 5.1)	26,250,471	-
	<u>197,710,939</u>	<u>110,577,470</u>
Charge / (Reversal) for the year	14,547,281	60,882,998
Amounts written off	(204,417)	-
As at 31 March	<u>212,053,803</u>	<u>171,460,468</u>
Individual Impairment	96,763,081	39,812,532
Collective Impairment	115,290,722	131,647,936
	<u>212,053,803</u>	<u>171,460,468</u>
Gross amount of loans individually determined to be impaired, before deducting the individually assessed impairment allowance		
	<u>795,702,286</u>	<u>187,767,677</u>

20.3 Movement in Allowance for Expected Credit Loss (ECL)

	Stage 01 Rs.	Stage 02 Rs.	Stage 03 Rs.	Total Rs.
Balance as at 01 April 2018	55,428,179	17,302,013	124,980,747	197,710,939
Charge/(Reversal) to Income Statement (Note 10.3)	(42,553,463)	640,634	56,460,110	14,547,281
Amounts written off	-	-	(204,417)	(204,417)
Balance as at 31 March 2019	<u>12,874,716</u>	<u>17,942,647</u>	<u>181,236,440</u>	<u>212,053,803</u>

21. LEASE RENTALS RECEIVABLE & STOCK OUT ON HIRE

	2019 Rs.	2018 Rs.
Gross rentals receivables		
-Lease Rentals	7,446,807,974	6,221,315,557
-Amounts Receivable form Hirers	27,931,588	39,912,328
	<u>7,474,739,562</u>	<u>6,261,227,885</u>
Less: Unearned Income	(1,760,822,865)	(1,481,675,613)
Net rentals receivables	<u>5,713,916,697</u>	<u>4,779,552,272</u>
Less : Rental Received In Advance	-	(16,512)
Less : Suspended VAT	(4,475,554)	(5,333,626)
	<u>5,709,441,143</u>	<u>4,774,202,134</u>
Other Charges Receivable	134,171,505	93,465,652
	<u>5,843,612,648</u>	<u>4,867,667,786</u>
Less : Allowance for Impairment Losses (Note 21.1)	(581,988,296)	(320,130,688)
Total Net Rentals Receivable (Note 21.2, 21.3)	<u>5,261,624,352</u>	<u>4,547,537,098</u>

Lease & hirers receivables include receivables amounting to Rs. 1,092,627,095 that have been Pledged for facilities obtained from Banks.

21.1 Analysis of Lease Rental Receivable & Stock Out on Hire on Maximum Exposure to credit Risk as at 31 March 2019

	Stage 01 Rs.	Stage 02 Rs.	Stage 03 Rs.	Total Rs.
Individually Impaired Lease Receivables	-	-	338,995,572	338,995,572
Lease Rental Receivable & Stock out of Hire subject to Collective Impairment	3,203,173,743	1,190,743,952	1,110,699,381	5,504,617,076
Allowances for Expected Credit Losses	(141,187,705)	(102,416,668)	(338,383,923)	(581,988,296)
	<u>3,061,986,038</u>	<u>1,088,327,284</u>	<u>1,111,311,030</u>	<u>5,261,624,352</u>

NOTES TO THE FINANCIAL STATEMENTS

Year ended 31 March 2019

21. LEASE RENTALS RECEIVABLE & STOCK OUT ON HIRE (Contd...)**21.2 Allowance for Impairment Losses**

	2019 Rs.	2018 Rs.
As at 01 April	320,130,687	275,228,607
Impact on Adoption of SLFRS 09 as at 01 April 2018 (Note 5.1)	57,975,738	-
	<u>378,106,425</u>	<u>275,228,607</u>
Charge / (Reversal) for the year	203,900,344	44,902,080
Amounts written off	(18,473)	-
As at 31 March	<u>581,988,296</u>	<u>320,130,687</u>
Individual Impairment	48,804,943	41,259,754
Collective Impairment	<u>533,183,353</u>	<u>278,870,933</u>
	<u>581,988,296</u>	<u>320,130,687</u>
Gross amount of lease and hire purchase rental receivables individually determined to be impaired, before deducting the individually assessed impairment allowance	<u>338,995,572</u>	<u>99,666,925</u>

21.3 Movement in Allowance for Expected Credit Loss

	Stage 01 Rs.	Stage 02 Rs.	Stage 03 Rs.	Total Rs.
Balance as at 01 April 2018	143,725,999	60,842,796	173,537,630	378,106,425
Charge/(Reversal) to Income Statement (Note 10.3)	(2,538,294)	41,573,872	164,864,766	203,900,344
Amounts written off	-	-	(18,473)	(18,473)
Balance as at 31 March 2019	<u>141,187,705</u>	<u>102,416,668</u>	<u>338,383,923</u>	<u>581,988,296</u>

21.4 As at 31 March 2019	Within one year Rs.	1 - 5 years Rs.	Over 5 years Rs.	Total Rs.
Gross rentals receivables				
-Lease Rentals	3,999,518,639	3,444,096,025	3,193,310	7,446,807,974
-Amounts Receivable form Hirers	26,754,962	1,176,626	-	27,931,588
	<u>4,026,273,601</u>	<u>3,445,272,651</u>	<u>3,193,310</u>	<u>7,474,739,562</u>
Less: Unearned Income	(725,814,464)	(1,033,708,906)	(1,299,495)	(1,760,822,865)
Net rentals receivables	<u>3,300,459,137</u>	<u>2,411,563,745</u>	<u>1,893,815</u>	<u>5,713,916,697</u>
Less : Suspended VAT				(4,475,554)
				<u>5,709,441,143</u>
Other Charges Receivable				134,171,505
				<u>5,843,612,648</u>
Less : Allowance for Impairment Losses				(581,988,296)
Total net rentals receivable				<u>5,261,624,352</u>

As at 31 March 2018	Within one year Rs.	1 - 5 years Rs.	Over 5 years Rs.	Total Rs.
Gross rentals receivables				
-Lease Rentals	3,349,447,344	2,871,712,521	155,692	6,221,315,557
-Amounts Receivable form Hirers	36,105,909	3,806,419	-	39,912,328
	<u>3,385,553,253</u>	<u>2,875,518,940</u>	<u>155,692</u>	<u>6,261,227,885</u>
Less: Unearned Income	(627,475,860)	(854,133,936)	(65,816)	(1,481,675,613)
Net rentals receivables	<u>2,758,077,393</u>	<u>2,021,385,004</u>	<u>89,876</u>	<u>4,779,552,272</u>
Less : Rental Received In Advance				(16,512)
Less : Suspended VAT				(5,333,626)
				<u>4,774,202,134</u>
Other Charges Receivable				93,465,652
				<u>4,867,667,786</u>
Less : Allowance for Impairment Losses				(320,130,688)
Total net rentals receivable				<u>4,547,537,098</u>

22. FINANCIAL INVESTMENTS -FAIR VALUE THROUGH OTHER COMPREHENSIVE INCOME / AVAILABLE FOR SALE

	2019	2018
	Rs.	Rs.
Credit Information Bureau-Unquoted Equities *	80,400	80,400
	<u>80,400</u>	<u>80,400</u>

* Cost is assumed to be the best approximation for the fair value of unquoted equity shares due to the absence of most recent exit prices.

23. DEBT INSTRUMENTS AT AMORTISED COST / FINANCIAL INVESTMENTS - HELD TO MATURITY

	2019	2018
	Rs.	Rs.
Government of Sri Lanka Treasury Bills	215,455,125	216,714,891
Government of Sri Lanka Treasury Bonds	20,459,214	22,915,244
	<u>235,914,339</u>	<u>239,630,135</u>

The Company has classified its investments in government debt securities-Treasury bonds & Treasury Bills previously classified as financial investments held to maturity as debt instruments at amortised cost.

24. OTHER FINANCIAL ASSETS

	2019	2018
	Rs.	Rs.
Reposessed Stock	47,820,057	18,032,375
Other Receivables	131,915,742	60,951,320
	<u>179,735,799</u>	<u>78,983,695</u>
Less : Allowance for Impairment Losses (Note 24.1)	(47,820,057)	(19,698,194)
	<u>131,915,742</u>	<u>59,285,501</u>
Deposit	20,952,403	15,409,628
Due From Related Parties	18,568,601	14,734,680
	<u>171,436,746</u>	<u>89,429,809</u>

Reposessed stock of the Company and the corresponding ECL allowances are grouped under Stage 3.

24.1 Allowance for Impairment Losses

	2019	2018
	Rs.	Rs.
As at 01 April	19,698,194	41,472,523
Impact on Adoption of SLFRS 09 as at 01 April 2018 (Note 5.1)	(1,665,819)	-
	<u>18,032,375</u>	<u>41,472,523</u>
Charge / (Reversal) for the year	83,756,458	117,317,040
Amounts written off	(53,968,776)	(139,091,369)
As at 31 March	<u>47,820,057</u>	<u>19,698,194</u>
Individual Impairment	-	-
Collective Impairment	47,820,057	19,698,194
	<u>47,820,057</u>	<u>19,698,194</u>

24.2 Movement in Allowance for Expected Credit Loss (ECL)

	Stage 03	Total
	Rs.	Rs.
Balance as at 01 April 2018	18,032,375	18,032,375
Charge/(Reversal) to Income Statement (Note 10.3)	83,756,458	83,756,458
Amounts written off	(53,968,776)	(53,968,776)
Balance as at 31 March 2019	<u>47,820,057</u>	<u>47,820,057</u>

NOTES TO THE FINANCIAL STATEMENTS

Year ended 31 March 2019

25. REAL ESTATE STOCK

	2019	2018
	Rs.	Rs.
Real Estate Stocks	50,793,213	58,049,675
	<u>50,793,213</u>	<u>58,049,675</u>

26. OTHER NON FINANCIAL ASSETS

	2019	2018
	Rs.	Rs.
Advances	21,644,528	35,446,356
Pre-paid Staff Cost	23,683,269	22,429,909
Other Receivables	212,630	212,630
Pre Paid Rent Deposit	3,020,088	4,139,456
Pre-Paid Expenses	15,592,880	12,310,008
	<u>64,153,395</u>	<u>74,538,359</u>

27. INTANGIBLE ASSETS

	Computer Software	
	2019	2018
	Rs.	Rs.
Cost		
Cost as at 01 April	55,359,002	53,967,404
Additions	15,406,297	1,391,598
As at 31 March	<u>70,765,299</u>	<u>55,359,002</u>
Amortisation & Impairment:		
As at 1 April	34,260,652	31,286,362
Amortisation Charge for the year	3,745,812	2,974,290
As at 31 March	<u>38,006,464</u>	<u>34,260,652</u>
Net book value:		
As at 31 March	<u>32,758,835</u>	<u>21,098,350</u>

Nature and Amortization Method

computer software from third parties. These

During the financial year, the Company acquired intangible assets (Computer Software) to the aggregate value of Rs.15,406,297 (2017/2018 - Rs.1,391,597).

NOTES TO THE FINANCIAL STATEMENTS

Year ended 31 March 2019

28. PROPERTY, PLANT AND EQUIPMENT**28.1 Gross Carrying Amounts**

Cost	Balance As at 01.04.2018 Rs.	Additions/ Transfers Rs.	Disposals Rs.	Balance As at 31.03.2019 Rs.
Freehold Assets				
Land	24,940,093	-	-	24,940,093
Furniture & Fittings	64,573,827	10,227,578	-	74,801,405
Office Equipment	25,845,023	1,218,316	-	27,063,339
Motor Vehicles	3,325,613	-	-	3,325,613
Computer Hardware	57,727,524	7,409,360	-	65,136,884
Total Value of Depreciable Assets	176,412,080	18,855,254	-	195,267,334

28.2 Depreciation

	Balance As at 01.04.2018 Rs.	Charge for the Period Rs.	Disposals Rs.	Balance As at 31.03.2019 Rs.
Furniture & Fittings	37,361,502	9,310,147	-	46,671,649
Office Equipment	12,031,300	2,673,694	-	14,704,994
Motor Vehicles	3,325,613	-	-	3,325,613
Computer Hardware	34,051,805	11,225,577	-	45,277,382
	86,770,220	23,209,418	-	109,979,638

28.3 Net Book Values

At Cost	2019 Rs.	2018 Rs.
Land	24,940,093	24,940,093
Furniture & Fittings	28,129,756	27,212,325
Office Equipment	12,358,345	13,813,723
Motor Vehicles	-	-
Computer Hardware	19,859,502	23,675,719
Total Carrying Amount of Property, Plant & Equipment	85,287,696	89,641,860

28.4 The useful lives of the assets are estimated as follows;

	2019	2018
Furniture & Fittings	3 - 8 Years	3 - 8 Years
Office Equipment	8 Years	8 Years
Motor Vehicles	8 Years	8 Years
Computer Hardware	4 years	4 years

28.5 During the Financial year, the Company acquired Property, Plant & Equipment to the aggregate value of Rs. 18,855,254/- (2017/2018- Rs.27,690,516/-).

28.6 Cost of fully depreciated assets of the company as at 31 March 2019 is Rs. 59,575,162/- (2017/2018 - Rs. 41,040,777/-).

28.7 Fair value related disclosures of freehold land

Freehold land located at Awissawella Road, Galwana, Mulleriyawa is carried at cost. According to the Company Policy, Valuation is done annually by an Independent Valuer. Therefore the fair value exist in the recent valuation (31 March 2019) which was carried out by professionally qualified independent valuer.

Valuation techniques and significant unobservable inputs

The following table shows the valuation technique used in measuring the fair value of freehold land, as well as the significant unobservable inputs used.

Valuation technique	Significant unobservable inputs	Valuation Rs.
Market Comparable Method	Estimated price per perch: Rs. 1,500,000 Land extent: 72.45 perches	108,675,000

NOTES TO THE FINANCIAL STATEMENTS

Year ended 31 March 2019

29. DEFERRED TAXATION

Deferred Tax Assets, Liabilities and Income Tax relates to the followings

	Statement of Financial Position		Recognized in Statement of Other Comprehensive Income		Recognized in Statement of Profit or Loss		Recognized in Statement of Statement of Changes in Equity	
	2019 Rs.	2018 Rs.	2019 Rs.	2018 Rs.	2019 Rs.	2018 Rs.	2019 Rs.	2018 Rs.
Deferred Tax Liability								
Capital Allowances for Tax Purposes								
-Property Plant & Equipment	13,163,257	10,268,583	-	-	2,894,674	1,367,716	-	-
-Leased Asset	25,253,759	108,547,217	-	-	(83,293,459)	92,593,219	-	-
Define Benefit Plan- Other Comprehensive Income	1,137,997	-	1,137,997	(558,540)	-	-	-	-
	<u>39,555,013</u>	<u>118,815,800</u>	<u>1,137,997</u>	<u>(558,540)</u>	<u>(80,398,785)</u>	<u>93,960,935</u>	<u>-</u>	<u>-</u>
Deferred Tax Assets								
Capital Allowances for Tax Purposes								
-Leased Asset	-	-	-	-	-	-	-	-
Defined Benefit Plans- Income Statement	(6,029,928)	(5,504,904)	-	-	(525,024)	(707,635)	-	-
Define Benefit Plan- Other Comprehensive Income	-	209,343	(209,343)	-	-	-	-	-
Provision for Impairment on Financial Assets	(46,084,626)	(108,607,925)	-	-	62,523,300	(30,191,465)	-	-
Impact of Adoption of SLFRS 09	(23,207,706)	-	-	-	-	-	(23,207,706)	-
Brought Forward Tax Losses	-	(57,498,479)	-	-	57,498,479	(57,498,479)	-	-
	<u>(75,322,259)</u>	<u>(171,401,966)</u>	<u>(209,343)</u>	<u>-</u>	<u>119,496,755</u>	<u>(88,397,579)</u>	<u>(23,207,706)</u>	<u>-</u>
Deferred income tax charge/(reversal)			<u>928,655</u>	<u>(558,540)</u>	<u>39,097,970</u>	<u>5,563,356</u>	<u>(23,207,706)</u>	<u>-</u>
Net Deferred Tax Liability/ (Asset)	<u>(35,767,246)</u>	<u>(52,586,166)</u>						

30. DUE TO BANKS

	2019 Rs.	2018 Rs.
Bank Overdrafts	128,421,459	8,658,861
Securitized Borrowings and Other Bank Facilities (Note 30.2 (a), 30.2 (b))	<u>383,338,832</u>	<u>209,722,165</u>
	<u>511,760,291</u>	<u>218,381,026</u>

NOTES TO THE FINANCIAL STATEMENTS

Year ended 31 March 2019

30. DUE TO BANKS (Contd...)

30.1 Due to Banks	Amount repayable within 1 year Rs.	2019 Amount repayable after 1 year Rs.	Total Rs.	Amount repayable within 1 year Rs.	2018 Amount repayable after 1 year Rs.	Total Rs.
Securitized Borrowings and Other Bank Facilities	180,522,222	202,816,610	383,338,832	103,333,333	106,388,832	209,722,165
	180,522,222	202,816,610	383,338,832	103,333,333	106,388,832	209,722,165

30.2 (a) Securitised Borrowings and Other Bank Facilities

	As at 01.04.2018 Rs.	Loans Obtained Rs.	Interest Recognized Rs.	Repayments Capital Rs.	Interest Rs.	As at 31.03.2019 Rs.	Period Rs.	Security Rs.
Direct Bank Borrowings								
Term Loans								
Term Loan 02 Union Bank of Colombo PLC	118,055,498	-	9,969,551	83,333,333	9,969,551	34,722,165	36 Months	Lease Portfolio
Term Loan 01 Seylan Bank PLC	91,666,667	-	12,095,109	20,000,000	12,095,109	71,666,667	60 Months	Lease Portfolio
Term Loan 02 Seylan Bank PLC	-	100,000,000	3,497,087	6,250,000	3,497,087	93,750,000	60 Months	Lease Portfolio
Term Loan 01 Nations Trust Bank PLC	-	200,000,000	4,663,494	16,800,000	4,663,494	183,200,000	24 Months	Lease Portfolio
Loan Against FD 01- Sampatht Bank PLC	-	30,000,000	1,217,984	30,000,000	1,217,984	-		Fixed Deposits
Loan Against FD 02- Sampatht Bank PLC	-	55,000,000	695,170	55,000,000	695,170	-		Fixed Deposits
Loan Against FD 03- Sampatht Bank PLC	-	20,000,000	222,148	20,000,000	222,148	-		Fixed Deposits
Loan Against FD 04- Sampath Bank PLC	-	40,000,000	1,087,759	40,000,000	1,087,759	-		Fixed Deposits
	209,722,165	445,000,000	33,448,301	271,383,333	33,448,301	383,338,832		

30.2 (b) Securitised Borrowings and Other Bank Facilities

	As at 01.04.2017 Rs.	Loans Obtained Rs.	Interest Recognized Rs.	Repayments Capital Rs.	Interest Rs.	As at 31.03.2018 Rs.	Period Rs.	Security Rs.
Direct Bank Borrowings								
Term Loans								
Term Loan 02 Union Bank of Colombo PLC	201,388,832	-	20,182,495	83,333,333	20,182,495	118,055,498	36 Months	Lease Portfolio
Term Loan Seylan Bank PLC	-	100,000,000	5,536,329	8,333,333	5,536,328	91,666,667	60 Months	Lease Portfolio
	201,388,832	100,000,000	25,718,824	91,666,667	25,718,824	209,722,165		

NOTES TO THE FINANCIAL STATEMENTS

Year ended 31 March 2019

31. DUE TO CUSTOMERS

	2019 Rs.	2018 Rs.
Fixed Deposits	5,753,972,509	6,583,032,884
Savings Deposits	38,994,015	32,126,483
	<u>5,792,966,524</u>	<u>6,615,159,367</u>

32. OTHER BORROWED FUNDS

	2019 Rs.	2018 Rs.
Securitization Loan (Note 32.1)	420,593,845	-
	<u>420,593,845</u>	<u>-</u>

	Amount repayable within 1 year Rs.	2019 Amount repayable after 1 year Rs.	Total Rs.	Amount repayable within 1 year Rs.	2018 Amount repayable after 1 year Rs.	Total Rs.
32.1 Other Borrowed Funds						
Securitized Borrowings	230,277,717	190,316,128	420,593,845	-	-	-
	<u>230,277,717</u>	<u>190,316,128</u>	<u>420,593,845</u>	<u>-</u>	<u>-</u>	<u>-</u>

32.2 (a) Other Borrowed Funds

	As at 01.04.2018 Rs.	Loans Obtained Rs.	Interest Recognized Rs.	Repayments Capital Rs.	Interest Rs.	As at 31.03.2019 Rs.	Period Rs.	Security Rs.
Securitized Borrowings	-	399,972,278	20,621,567	-	-	420,593,845	22 Months	Lease Portfolio
	<u>-</u>	<u>399,972,278</u>	<u>20,621,567</u>	<u>-</u>	<u>-</u>	<u>420,593,845</u>		

NOTES TO THE FINANCIAL STATEMENTS

Year ended 31 March 2019

33. OTHER FINANCIAL LIABILITIES		2019 Rs.	2018 Rs.
Trade Payables - Related Parties (33.1)		99,000,198	146,161,587
Non Trade Payables - Related Parties (33.2)		2,969,904	1,764,979
Trade Payables - Other Parties		175,887,347	133,005,500
Accrued Expenses		278,036,986	244,346,910
		<u>555,894,435</u>	<u>525,278,976</u>
33.1 Trade Payables to Related Parties		Relationship	
Abans PLC	Parent Company	1,272,170	2,549,551
Abans Auto (Pvt)Ltd	Affiliate Company	97,728,028	143,612,036
		<u>99,000,198</u>	<u>146,161,587</u>
33.2 Non Trade Payables to Related Parties			
Abans PLC	Parent Company	464,735	941,649
Abans Retail (Pvt) Ltd	Affiliate Company	192,858	211,224
Abans Graphics (Pvt) Ltd	Affiliate Company	368,000	61,582
Abans Environmental Services	Affiliate Company	266,760	184,425
ABS Gardner Dixon Hall International (Pvt) Ltd	Affiliate Company	660,000	4,317
AB Securitas (Pvt) Ltd	Affiliate Company	878,152	256,197
AB Logistics (Pvt) Ltd	Affiliate Company	835	835
ABS Courier (Pvt) Ltd	Affiliate Company	138,564	104,750
		<u>2,969,904</u>	<u>1,764,979</u>
34. OTHER NON FINANCIAL LIABILITIES		2019 Rs.	2018 Rs.
VAT on Financial Services		8,576,044	4,881,309
VAT Payable		120,937	300,661
Others		10,044,968	6,882,067
		<u>18,741,949</u>	<u>12,064,037</u>
35. RETIREMENT BENEFIT OBLIGATIONS		2019 Rs.	2018 Rs.
Retirement Benefit Obligations - Gratuity			
Balance at the beginning of the year		18,912,720	15,138,320
Current Service Cost		3,313,698	3,775,577
Payments made during the year		(3,367,710)	(3,140,600)
Interest Charged/(Reversed) for the year		1,929,097	1,892,290
(Gain)/loss arising from changes in the assumption		(3,316,624)	1,247,133
Balance at the end of the year		<u>17,471,181</u>	<u>18,912,720</u>

NOTES TO THE FINANCIAL STATEMENTS

Year ended 31 March 2019

35. RETIREMENT BENEFIT OBLIGATIONS (Contd...)

	2019 Rs.	2018 Rs.
35.1 Expenses on Defined Benefit Plan		
Current Service Cost for the year	3,313,698	3,775,577
Interest Charge for the year	1,929,097	1,892,290
	<u>5,242,795</u>	<u>5,667,867</u>
Amount Recognized in the Other Comprehensive Income		
(Gain)/Loss arising from changes in the assumption (Note 35.2)	(3,316,624)	1,247,133
	<u>(3,316,624)</u>	<u>1,247,133</u>
35.2 (Gain) / Loss arising from the changes in the assumption		
Due to change in Demographic Assumptions	(18,776)	-
Due to change in Financial Assumptions	(3,480,030)	1,521,991
Experience Adjustment	182,182	(274,858)
	<u>(3,316,624)</u>	<u>1,247,133</u>
35.3		
Actuarial valuation of Retiring Gratuity Obligation as at 31 March 2019 was carried out by Messrs. Actuarial and Management Consultants (Pvt) Ltd, a firm of professional actuaries using "Project Unit Credit Method" as recommended by LKAS 19-'Employee Benefits'.		
35.4 Assumptions	2019	2018
Discount Rate	11.00%	10.20%
Salary Increment Rate	5.00%	8.50%
Staff Turnover	17.00%	17.00%
Retirement Age	60 Years	60 Years

Assumptions regarding future mortality are based on 67/70 Mortality Table and issued by the Institute of Actuaries, London.

35.5 Sensitivity of Assumptions in Actuarial Valuation of Retiring Gratuity Obligation

The following table demonstrates the sensitivity to a possible change in key assumptions employed with all other variables held constant in the Retiring Gratuity Obligations measurement. The sensitivity of the Statement of Financial position and Statement of Comprehensive Income is the effect of the assumed changes in the discount rate and salary increment on the profit or loss and Retiring Gratuity obligation for the year.

		2019		2018	
Increase/(Decrease) in Discount Rate	Increase/(Decrease) in Salary Increment Rate	Sensitivity Effect on Statement of Comprehensive Income	Sensitivity Effect on Defined Benefit Obligation	Sensitivity Effect on Statement of Comprehensive Income	Sensitivity Effect on Defined Benefit Obligation
1%		722,455	(722,455)	913,512	(913,512)
-1%		(791,299)	791,299	(1,013,575)	1,013,575
	1%	(916,430)	916,430	(1,110,687)	1,110,687
	-1%	847,624	(847,624)	1,016,782	(1,016,782)

35.6 Maturity Profile of the Defined Benefit Obligation Plan

Maturity Profile of the Defined Benefit Obligation Plan as at the reporting date is given below;

	2019 Years	2018 Years
Weighted Average Duration of the Defined Benefit Obligation	4.78	5.58
Average Time to Benefit Payout	5.52	5.47

35. RETIREMENT BENEFIT OBLIGATIONS (Contd...)**35.7 Distribution of Defined Benefit Obligation Over Future Lifetime**

The following table demonstrates distribution of the future working lifetime of the Defined Benefit Obligation as at the reporting period.

	2019	2018
	Rs.	Rs.
Less than 1 year	3,317,443	2,855,665
Between 1-5 years	7,896,191	8,330,035
Between 5-10years	4,094,776	3,957,007
Over 10 years	2,162,771	3,770,013
	<u>17,471,181</u>	<u>18,912,720</u>

36. STATED CAPITAL

	2019		2018	
36.1 Issued and Fully Paid-Ordinary shares	No. of Shares	Rs.	No. of Shares	Rs.
At the beginning of the year	66,561,573	1,121,412,955	55,467,978	844,073,080
<u>Issued during the year</u>				
-Right Issue	-	-	11,093,595	277,339,875
At the end of the year	<u>66,561,573</u>	<u>1,121,412,955</u>	<u>66,561,573</u>	<u>1,121,412,955</u>

36.2 Rights of Shareholders

The holders of ordinary shares confer their right to receive dividends as declared from time to time and are entitled to one vote per share at the meeting. All shares rank equally with regard to the Company's residual assets.

37. RETAINED EARNINGS AND OTHER RESERVES

37.1 Retained Earnings	2019	2018
	Rs.	Rs.
As at 01 April	337,975,406	276,925,848
Impact of adopting SLFRS 09 as at 01 April 2018	(59,676,957)	-
Restated Balance under SLFRS 09 as at 01 April 2018	<u>278,298,449</u>	<u>276,925,848</u>
Dividend Paid	-	(13,312,315)
Profit /(Loss) for the Year	23,721,323	94,863,688
Other Comprehensive Income net of tax	2,387,969	(897,936)
Transfers to Statutory Reserve Fund	(4,744,265)	(18,972,738)
Direct Cost on Right Issue	-	(631,142)
Direct Cost on Private Placement	-	-
As at 31 March	<u>299,663,476</u>	<u>337,975,406</u>

Retained Earnings represents the undistributed earnings held by the Company to be used in the Company's operations. This could be used to absorb future possible losses or dividends payable.

37.2 Other Reserves

	Statutory Reserve	Total
	Rs.	Rs.
As at 01 April 2018	108,239,567	108,239,567
Transfers to/(from) during the year	4,744,265	4,744,265
As at 31 March 2019	<u>112,983,832</u>	<u>112,983,832</u>

37.2.1 Statutory Reserve Fund

The statutory reserve fund is maintained as required by Finance Companies (Capital Funds) Direction No.1 of 2003 issued by Central Bank of Sri Lanka. As per the said Direction, every Registered Finance Company shall maintain a reserve fund, out of the net profit for each year after provisions for taxation and bad and doubtful debts. Accordingly 20% of the net profit for the year transferred to Reserve Fund as required by Section 3(b) ii of the said Direction.

NOTES TO THE FINANCIAL STATEMENTS

Year ended 31 March 2019

38. ANALYSIS OF FINANCIAL INSTRUMENTS BY MEASUREMENT BASIS

38.1 As at 31 March 2019	Amortised Cost Rs.	Equity Instruments - FVOCI Rs.	Total Rs.
Assets			
Cash and Bank Balances	263,517,684	-	263,517,684
Placement With Banks	249,659,017	-	249,659,017
Repurchase Agreements	281,537,224	-	281,537,224
Loans and Advances	2,127,780,588	-	2,127,780,588
Lease rentals receivable & Stock out on Hire	5,261,624,352	-	5,261,624,352
Equity instruments at fair value through OCI	-	80,400	80,400
Debt Instruments at Amortised Cost	235,914,339	-	235,914,339
Other Financial Assets	171,436,746	-	171,436,746
Total Financial Assets	8,591,469,950	80,400	8,591,550,350
Liabilities			
Due to Banks	511,760,291	-	511,760,291
Due to Customers	5,792,966,524	-	5,792,966,524
Debt Instruments Issued and Other Borrowed Funds	420,593,845	-	420,593,845
Other Financial Liabilities	555,894,435	-	555,894,435
Total Financial Liabilities	7,281,215,095	-	7,281,215,095

38.2 As at 31 March 2018	HFT at Fair Value Rs.	HTM at Amortised Cost Rs.	L&R at Amortised Cost Rs.	AFS at Fair Value Rs.	Total Rs.
Assets					
Cash and Bank Balances	-	-	405,474,541	-	405,474,541
Placement With Banks	-	-	550,601,090	-	550,601,090
Repurchase Agreements	-	-	362,248,075	-	362,248,075
Financial Investments - Held for Trading	-	-	-	-	-
Loans and Advances	-	-	2,435,821,344	-	2,435,821,344
Lease rentals receivable & Stock out on Hire	-	-	4,492,296,195	-	4,492,296,195
Financial Investments - Available for Sale	-	-	-	80,400	80,400
Financial Investments - Held to Maturity	-	239,630,135	-	-	239,630,135
Other Financial Assets	-	-	155,935,006	-	155,935,006
Total Financial Assets	-	239,630,135	8,402,376,252	80,400	8,642,086,786

	OFL at Amortized Cost Rs.	Total Rs.
Liabilities		
Due to Banks	218,381,026	218,381,026
Due to Customers	6,615,159,367	6,615,159,367
Other Financial Liabilities	525,278,976	525,278,976
Total Financial Liabilities	7,358,819,369	7,358,819,369

HFT - Held for Trading
 HTM - Held-to-Maturity
 L & R - Loans and Receivables
 AFS - Available for Sale
 OFL - Other Financial Liabilities

39. FAIR VALUE OF FINANCIAL INSTRUMENTS**Financial Instruments Recorded at Fair Value**

The following is a description of how fair values are determined for financial instruments that are recorded at fair value using valuation techniques. These incorporate the Company's estimate of assumptions that a market participant would make when valuing the financial instruments.

39.1 Determination of Fair Value and Fair Value Hierarchy

The Company uses the following hierarchy for determining and disclosing the fair value of financial instruments by Valuation techniques.

Level 1 :Quoted (unadjusted) prices in active markets for identical assets or liabilities in the active Market.

Level 2: Valuation technique using observer able inputs: Quoted prices for similar assets and liabilities in active markets or quoted prices for identical or similar assets and liabilities in active markets and are valued using models where all significant inputs are observable.

Level 3: Valuation techniques with significant unobservable inputs: assets and liabilities valued using valuation techniques where one or more significant inputs are unobservable.

Assets and Liabilities Measured at Fair Value - Fair Value Hierarchy

The following table shows an analysis of financial instruments recorded at fair value by level of the fair value hierarchy in to which the fair value measurement is categorized.

As at 31 March 2019	Level 1 Rs.	Level 2 Rs.	Level 3 Rs.	Total Rs.
Financial Assets				
Financial Investments - Held for Trading				
Quoted Equities	-	-	-	-
Financial Investments - Available for Sale				
Unquoted Equities	-	-	80,400	80,400
Total Financial Assets	<u>-</u>	<u>-</u>	<u>80,400</u>	<u>80,400</u>
As at 31 March 2018	Level 1 Rs.	Level 2 Rs.	Level 3 Rs.	Total Rs.
Financial Assets				
Financial Investments - Held for Trading				
Quoted Equities	-	-	-	-
Financial Investments - Available for Sale				
Unquoted Equities	-	-	80,400	80,400
Total Financial Assets	<u>-</u>	<u>-</u>	<u>80,400</u>	<u>80,400</u>

There were no financial liabilities recorded at fair value as at 31 March 2018 & 2019.

There were no transfers between Level 1 and Level 2 during 2018 & 2019.

39. FAIR VALUE OF FINANCIAL INSTRUMENTS (Contd...)**39.2 Fair Value of Financial Assets and Liabilities Not Carried at Fair Value**

Set out below is the comparison, by class, of the carrying amounts of Fair Values of the Company's Financial Instruments that are not carried at Fair Value in the Financial Statements. This table does not include the Fair Values of Non-Financial Assets and Non-Financial Liabilities.

Financial Assets	Carrying Amount Rs.	2019				Carrying Amount Rs.	2018			
		Fair Value					Fair Value			
		Level 01 Rs.	Level 02 Rs.	Level 03 Rs.	Total Rs.		Level 01 Rs.	Level 02 Rs.	Level 03 Rs.	Total Rs.
Loans and Advances	2,127,780,588	-	1,761,035,935	-	1,761,035,935	2,435,821,344	-	2,019,393,934	-	2,019,393,934
Lease rentals receivable & Stock out on Hire	5,261,624,352	-	4,093,652,845	-	4,093,652,845	4,492,296,195	-	3,445,927,736	-	3,445,927,736
Debt instruments at amortised cost	235,914,339	-	235,429,807	-	235,429,807	239,630,135	-	240,556,351	-	240,556,351
	7,625,319,279	-	6,090,118,587	-	6,090,118,587	7,167,747,674	-	5,705,878,021	-	5,705,878,021
Financial Liabilities										
Due to Customers	5,792,966,524	-	6,001,318,650	-	6,001,318,650	6,615,159,367	-	6,934,668,510	-	6,934,668,510
	5,792,966,524	-	6,001,318,650	-	6,001,318,650	6,615,159,367	-	6,934,668,510	-	6,934,668,510

The following describes the methodologies and assumptions used to determine the Fair Values for those Financial Assets & Liabilities which are not already recorded at fair value in the Financial Statements.

Fixed Rate Financial Instruments

Carrying amounts are considered as Fair Values for short term credit facilities. All credit facilities with fixed interest rates were fair valued using market rates at which fresh credit facilities were granted during the last month of the reporting year. Conversely, fixed deposits with remaining tenors above one year and interest paid at maturity were discounted using current market rates offered to customers during the last month of the reporting year.

Assets & Liabilities for which Fair Value Approximates Carrying Value

The Following is a list of Financial Investments whose carrying amount is a reasonable approximation of Fair Value. Because for example, they are short-term in nature or reprice to current market rates Frequently:

Assets

Cash and Bank Balances
Placement With Banks
Repurchase Agreements
Other Financial Assets

Liabilities

Due to Banks
Due to Customers Savings
Debt Instruments Issued and Other borrowed funds
Other Financial Liabilities

Reclassification of Financial Assets

There have been no reclassifications during 2018 & 2019.

40. RISK MANAGEMENT DISCLOSURES

40.1 Introduction

Risk is inherent in a financial business and such risks are managed through a process of ongoing identification, measurement and monitoring, subject to risk limits and other controls. This process of risk management is critical to the Company's continuing profitability and each individual within the Company is accountable for the risk exposures relating to his or her responsibilities.

The Company is exposed to credit risk, interest rate risk, liquidity risk, operational risk, the latter being subdivided into regulatory & compliance risk, reputation risk and environmental risk. The independent risk control process does not include business risks such as changes in the environment, technology and industry.

The Company's policy is to monitor those business risks through the Company's strategic planning process.

40.2 Risk Management Structure

The Board is primarily responsible for risk management initiatives. Integrated Risk Management Committee (IRMC), which is a sub-committee of the Board has been established and delegated risk management responsibilities. This Committee plays a vital role in establishing best practices in relation to risk policies and practices within the company.

The quantum and level of risks that the Company is willing to accept is decided at the IRMC level, and the decisions made by this Committee are communicated to the Board of Directors. The Board ratifies the risk policies and risk tolerance levels agreed at the Integrated Risk Management Committee meetings.

The Committee fulfils the requirement set out in the Finance Companies Direction No. 3 of 2008 on Corporate Governance issued by Central Bank of Sri Lanka (CBSL) under Finance Business Act No. 42 of 2011.

The Committee consists of 2 Directors; Managing Director and one Non Executive Director. Chief Executive Officer, Chief Financial Officer / Accountant, Head of Sales, Head of Recoveries, Head of Branches, Manager – Risk & Compliance and Manager - IT were also co-opted to the Committee.

IRMC is supported by two sub committees such as Assets and Liabilities Committee (ALCO) and Credit Committee (CC). ALCO is entrusted with the identification and managing of Market Risk and Liquidity Risk where as CC is responsible for managing Assets Quality and credit policy of the Company.

The Company's policy is to ensure that risk management processes throughout the Company are audited by the Internal Audit function, which examines both the adequacy of the procedures and the Company's compliance with the procedures. Internal Audit division discusses the results of all assessments with management, and reports its findings and recommendations to the Board Audit Committee.

40.3 Risk measurement & Reporting System and Risk Mitigation

The positioning map of each risk component is placed within the risk grid. Tolerance levels are set by using sustainable measurements and these are discussed at risk management meetings. The risk console indicates the severity of each component of risk.

40. RISK MANAGEMENT DISCLOSURES (Contd...)**40.4 Credit Risk**

Credit risk refers to the risk that borrowers will default on any type of debt by failing to disruption to cash flows, and increased collection costs. The loss may be complete or partial and can arise in a number of circumstances to make payments they are obligated to do. The risk of loss of principal or loss of a financial reward stems from a borrower's failure to repay a loan or otherwise meet a contractual obligation. The risk is primarily that of the lender and includes lost principal and interest.

Credit risk is closely tied to the potential return, the most notable being that the yields on portfolios correlate strongly to their perceived credit risk. The strategy of Company is not to eliminate risk, but to maintain the same within pre-determined acceptance levels. The Company manages and controls credit risk by setting limits on the amount of risk it is willing to accept for individual counterparties and for geographical and industry concentrations, and by monitoring exposures in relation to such limits.

40.4.1 Impairment Assessment

The methodology of the impairment assessment has explained in Note 4.1.10 under Accounting policies. The references below should be read in conjunction with those Accounting policies.

40.4.1 (a) Definition of default and cure

The Company considers a financial instrument defaulted and therefore Stage 3 (credit-impaired) for ECL calculations in all cases when the borrower becomes 90 days past due on its contractual payments. The Company considers treasury and interbank balances defaulted and takes immediate action when the required intra day payments are not settled by the close of business as outlined in the individual agreements.

As a part of a qualitative assessment of whether a customer is in default, the Company also considers a variety of instances that may indicate unlikelihood to pay. When such events occur, the Company carefully considers whether the event should result in treating the customer as defaulted and therefore assessed as Stage 3 for ECL calculations or whether Stage 2 is appropriate. Such events include:

- * Internal assessment of the borrower indicating default or near-default
- * The borrower requesting emergency funding from the Company
- * The borrower having past due liabilities to public creditors or employees
- * The borrower is deceased
- * A material decrease in the underlying collateral value where the recovery of the loan is expected from the sale of the collateral
- * A material decrease in the borrower's turnover or the loss of a major customer
- * A covenant breach not waived by the Company
- * The debtor (or any legal entity within the debtor's group) filing for bankruptcy application/protection
- * Debtor's listed debt or equity suspended at the primary exchange because of rumours or facts about financial difficulties

It is the Company's policy to consider a financial instrument as 'cured' and therefore re-classified out of Stage 3 when none of the default criteria have been present for at least six consecutive months. The decision whether to classify an asset as Stage 2 or Stage 1 once cured depends on the updated credit grade, at the time of the cure, and whether this indicates there has been a significant increase in credit risk compared to initial recognition.

40.4.1 (b) Significant increase in credit risk

The Company continuously monitors all assets subject to ECLs. In order to determine whether an instrument or a portfolio of instruments is subject to 12mECL or LTECL, the Company assesses whether there has been a significant increase in credit risk since initial recognition.

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40. RISK MANAGEMENT DISCLOSURES (Contd...)**40.4 CREDIT RISK (Contd...)****40.4.1 (c) Assessment of Expected Credit Losses****40.4.1(c) Analysis of the total allowance for expected credit losses is as follows.**

	2019			
	Stage 01	Stage 02	Stage 03	Total
	Rs.	Rs.	Rs.	Rs.
Cash and Bank Balances	(173,433)	-	-	(173,433)
Placement With Banks	(49,676)	-	-	(49,676)
Loans and Advances	(42,553,463)	640,634	56,460,110	14,547,281
Lease Rentals Receivable & Stock Out on Hire	(2,538,295)	41,573,872	164,864,766	203,900,344
Other Debtors	-	-	83,756,458	83,756,458
Total Allowance for Expected Credit Losses	(45,314,867)	42,214,506	305,081,334	301,980,973

The methodology used in the determination of expected credit losses is explained in Note 4.1.10 to Financial Statements.

40.4.1(d) Movement of the total allowance for expected credit losses during the period

	2019 Rs.
Balance as at 01 April 2018	594,174,012
Charge/(Reversal) to Income Statement (Note 10)	301,980,973
Write- off during the year	(54,191,665)
Balance as at 31 March 2019	841,963,320

40.4.1(e) Sensitivity Analysis : Impact of staging of loans on collective allowance for expected credit losses

The following table illustrates the impact of staging of loans by comparing the allowance, if all performing financial assets were in stage 1 or if all such assets were in stage 2 to the actual expected credit loss recorded on these assets.

	Stage 1 and 2 Actual ECL Rs.	ECL - If all performing loans in Stage 1 Rs.	Impact of staging Rs.
Total allowance for expected credit losses	274,421,735	229,402,527	(45,019,209)

	Stage 1 and 2 Actual ECL Rs.	ECL - If all performing loans in Stage2 Rs.	Impact of staging Rs.
Total allowance for expected credit losses	274,421,735	399,217,899	124,796,163

The management believes that a movement of the entire stage 1 loan portfolio to stage 2 is highly unlikely.

40.4.1(f) Loans past due but not impaired

A loan is considered past due when a counterparty has not made a payment by the contractual due date. The following table presents the carrying value of loans that are contractually past due but not classified as impaired because they are less than 90 days past due. Loans past due 30 days or less are not presented in this analysis as they are not administratively considered past due.

As at 31 March 2019

	2019		
	31-60 Days	61-90 Days	Total
	Rs.	Rs.	Rs.
Loans and Advances	140,513,036	75,322,218	215,835,254
Lease Rentals Receivable & Stock Out on Hire	816,191,944	374,612,617	1,190,804,561
Other Debtors	-	-	-
	956,704,980	449,934,835	1,406,639,815

40.4.1(g) Overview of rescheduled loans and advances (except individually impaired loans and advances)

As at 31 March 2019	2019				Net Carrying Value
	Gross Carrying Value		Allowance for ECL		
	Stage 3	Total	Stage 3	Total	
Loans and Advances	35,353,128	35,353,128	5,618,609	5,618,609	29,734,519
Lease Rentals Receivable & Stock	45,494,840	45,494,840	11,085,654	11,085,654	34,409,186
	80,847,968	80,847,968	16,704,263	16,704,263	64,143,705

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Year ended 31 March 2019

40. RISK MANAGEMENT DISCLOSURES (Contd...)

40.4 CREDIT RISK (Contd...)

40.4.2 Maximum Exposure to Credit risk

The following table shows the maximum exposure to credit risk by class of Financial Asset and the value of Financial Assets covered by the collateral.

Type of Collateral	Maximum Exposure to Credit Risk	Fair Value of Collateral Held				Total Collateral Value	Net Exposure to Credit Risk
As at 31 March 2019	Rs.	Cash / Near Cash Rs.	Property Mortgages Rs.	Moveable Assets * Rs.	Other ** Rs.	Rs.	Rs.
Cash and Bank Balances (Excluding cash in hand)	123,107,727	-	-	-	-	-	123,107,727
Placement With Banks	249,659,017	-	-	-	-	-	249,659,017
Repurchase Agreements	281,537,224	-	-	-	-	-	281,537,224
Loans and Advances	2,127,780,588	138,273,009	375,200,576	8,806,097	2,647,668	524,927,350	1,602,853,238
Lease rentals receivable & Stock out on hire	5,261,624,352	-	-	528,711,876	-	528,711,876	4,732,912,476
Equity instruments at fair value through OCI	80,400	-	-	-	-	-	80,400
Debt instruments at amortised cost	235,914,339	-	-	-	-	-	235,914,339
Other Financial assets	171,436,746	-	-	-	-	-	171,436,746
	8,451,140,393	138,273,009	375,200,576	537,517,973	2,647,668	1,053,639,226	7,397,501,167

Type of Collateral	Maximum Exposure to Credit Risk	Fair Value of Collateral Held				Total Collateral Value	Net Exposure to Credit Risk
As at 31 March 2018	Rs.	Cash / Near Cash Rs.	Property Mortgages Rs.	Moveable Assets * Rs.	Other ** Rs.	Rs.	Rs.
Cash and Bank Balances (Excluding cash in hand)	347,067,821	-	-	-	-	-	347,067,821
Placement With Banks	550,601,090	-	-	-	-	-	550,601,090
Repurchase Agreements	362,248,075	-	-	-	-	-	362,248,075
Financial Investments - Held for Trading	-	-	-	-	-	-	-
Loans and Advances	2,447,085,638	345,764,194	712,204,652	738,862,291	2,994,278	1,799,825,415	647,260,223
Lease rentals receivable & Stock out on hire	4,547,537,098	-	-	4,378,020,432	-	4,378,020,432	169,516,666
Financial Investments - Available for Sale	80,400	-	-	-	-	-	80,400
Financial Investments - Held to Maturity	239,630,135	-	-	-	-	-	239,630,135
Other Financial assets	89,429,809	-	-	-	-	-	89,429,809
	8,583,680,067	345,764,194	712,204,652	5,116,882,724	2,994,278	6,177,845,847	2,405,834,220

* Movable assets includes absolute ownership/ mortgage over motor vehicles and Machineries & Equipments.

** Other collateral includes secured by consumer durables & title deed transfers (Real Estate Loans).

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Year ended 31 March 2019

40. RISK MANAGEMENT DISCLOSURES (Contd...)**40.4 CREDIT RISK (Contd...)****40.4.3 Credit Quality by Class of Financial Assets**

The amounts presented are gross of Impairment allowances.

As at 31 March 2019	Neither Past Due nor Individually Impaired Rs.	Past Due Not Individually Impaired Rs.	Individually Impaired Rs.	Total Rs.
Assets				
Cash and Bank Balances	263,517,684	-	-	263,517,684
Placement With Banks	249,659,017	-	-	249,659,017
Repurchase Agreements	281,537,224	-	-	281,537,224
Loans and Advances	685,019,500	859,112,605	795,702,286	2,339,834,391
Lease Rentals Receivable & Stock Out on Hire	2,127,771,473	3,376,845,603	338,995,572	5,843,612,648
Equity instruments at fair value through OCI	80,400	-	-	80,400
Debt instruments at amortised cost	235,914,339	-	-	235,914,339
Other Financial Assets	131,915,742	47,820,057	-	179,735,799
Total	3,975,415,379	4,283,778,265	1,134,697,858	9,393,891,502

As at 31 March 2018	Neither Past Due nor Individually Impaired Rs.	Past Due Not Individually Impaired Rs.	Individually Impaired Rs.	Total Rs.
Assets				
Cash and Bank Balances	405,474,541	-	-	405,474,541
Placement With Banks	550,601,090	-	-	550,601,090
Repurchase Agreements	362,248,075	-	-	362,248,075
Loans and Advances	1,640,365,779	790,412,650	187,767,677	2,618,546,106
Lease Rentals Receivable & Stock Out on Hire	2,695,736,647	2,072,264,214	99,666,925	4,867,667,786
Financial Investments - Available for Sale	80,400	-	-	80,400
Financial Investments - Held to Maturity	239,630,135	-	-	239,630,135
Other Financial Assets	60,951,320	18,032,375	-	78,983,695
Total	5,955,087,988	2,880,709,239	287,434,602	9,123,231,829

Aging Analysis of past due(i.e. facilities in arrears of 1 day and above) but not individually impaired loans by class of Financial Assets as at the end of the relevant financial period.

As at 31 March 2019	Past Due but Not Individually Impaired				
	1 to 30 Days Rs.	31 to 60 Days Rs.	61 to 90 Days Rs.	More than 91 Days Rs.	Total Rs.
Loans and Advances	284,453,269	140,513,036	75,322,218	358,824,081	859,112,604
Lease Rentals Receivable & Stock Out on Hire	1,074,622,355	816,191,944	374,522,008	1,111,479,296	3,376,815,603
Other Financial Assets	-	-	-	47,820,057	47,820,057
	1,359,075,624	956,704,980	449,844,226	1,518,123,434	4,283,748,264

Aging Analysis of past due(i.e. facilities in arrears of 1 day and above) but not individually impaired loans by class of financial assets as at the previous financial period.

As at 31 March 2018	Past Due but Not Individually Impaired				
	1 to 30 Days Rs.	31 to 60 Days Rs.	61 to 90 Days Rs.	More than 91 Days Rs.	Total Rs.
Loans and Advances	171,220,113	229,304,203	87,077,206	302,811,128	790,412,650
Lease Rentals Receivable & Stock Out on Hire	961,796,898	389,145,283	197,419,175	523,902,858	2,072,264,214
Other Financial Assets	-	-	-	18,032,375	18,032,375
	1,133,017,011	618,449,486	284,496,381	844,746,361	2,880,709,239

NOTES TO THE FINANCIAL STATEMENTS

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40. RISK MANAGEMENT DISCLOSURES (Contd...)**40.4 CREDIT RISK (Contd...)****40.4.4 Analysis of Risk Concentration**

The following table shows the risk concentration by sector for the Financial Assets components of the Statement of Financial Position.

As at 31 March 2019

Purpose wise Breakdown	Cash and Bank Balances	Placement With Banks	Securities Purchased under Repurchase Agreement	Loans and Advances	Lease rentals receivable & Stock Out on Hire	Equity instruments at fair value through OCI	Debt instruments at amortised cost	Other Financial Assets	Total Financial Assets
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Agriculture	-	-	-	83,690,471	52,310,207	-	-	-	136,000,678
Manufacturing	-	-	-	36,293,040	12,384,008	-	-	-	48,677,049
Construction	-	-	-	93,035,060	25,586,617	-	-	-	118,621,677
Financial Services	263,517,684	249,659,017	-	137,531,055	1,487,973	80,400	-	-	652,276,129
Trading	-	-	-	57,631,873	45,968,950	-	-	-	103,600,823
Government	-	-	281,537,224	-	-	-	235,914,339	-	517,451,563
Hotels	-	-	-	20,732,381	3,780,199	-	-	-	24,512,580
Services	-	-	-	588,996,556	4,829,080,442	-	-	-	5,418,076,997
Others	-	-	-	1,109,870,152	291,025,956	-	-	171,436,746	1,572,332,854
Total	263,517,684	249,659,017	281,537,224	2,127,780,588	5,261,624,352	80,400	235,914,339	171,436,746	8,591,550,350

As at 31 March 2018

Purpose wise Breakdown	Cash and Bank Balances	Placement With Banks	Securities Purchased under Repurchase Agreement	Loans and Advances	Lease rentals receivable & Stock Out on Hire	Financial Investments - Available for Sale	Financial Investments - Held to Maturity	Other Financial Assets	Total Financial Assets
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Agriculture	-	-	-	5,813,590	2,486,914	-	-	-	8,300,504
Manufacturing	-	-	-	13,429,399	14,225,025	-	-	-	27,654,424
Construction	-	-	-	223,355,601	28,697,661	-	-	-	252,053,262
Financial Services	405,474,541	550,601,090	-	12,613,593	1,067,655	80,400	-	-	969,837,280
Trading	-	-	-	58,961,837	9,110,879	-	-	-	68,072,716
Government	-	-	362,248,075	-	-	-	239,630,135	-	601,878,210
Hotels	-	-	-	514,593	1,913,744	-	-	-	2,428,336
Services	-	-	-	696,887,612	4,295,546,491	-	-	-	4,992,434,103
Others	-	-	-	1,435,509,413	194,488,729	-	-	89,429,809	1,719,427,951
Total	405,474,541	550,601,090	362,248,075	2,447,085,638	4,547,537,098	80,400	239,630,135	89,429,809	8,642,086,786

40. RISK MANAGEMENT DISCLOSURES (Contd...)**40.5 INTEREST RATE RISK**

Interest rate risk is a key constitute of the market risk exposure of the Company due to adverse and unanticipated movements in future interest rate which arises from core business activities; granting of credit facilities, accepting deposits and issuing debt instruments.

Interest rate risk arises from the possibility that changes in interest rates will affect future cash flows and / or the fair values of financial instruments. Several factors give rise to interest rate risk; among these are term structure risk, which arises due to the mismatches in the maturities of assets and liabilities; basis risk which is the threat to income arises due to differences in the bases of interest rates.

Excessive movements in market interest rate could result in severe volatility to company's net interest income and net interest margin. Company's exposure to interest rate risk is primarily associated with factors such as;

- Reprising risk arising from a fixed rate borrowing portfolio where reprising frequency is different to that of the lending portfolio.
- Yield curve risk arising from unanticipated shifts of the market yield curve.

Assets and Liabilities Committee of the company is having the primary responsibility of managing the Interest Rate Risk. Interest rate risk is managed principally through minimizing interest rate sensitive asset liability gaps. In order to ensure interest rate margin and spreads are maintained, the Company conducts periodic reviews and re-prices its assets accordingly.

40.5.1 Interest Rate Sensitivity

40.5.1.1 The following table demonstrates the sensitivity to a reasonably possible change in interest rates, with all other variables held constant, of the Company's Profit or Loss and Equity.

Borrowings/ Advance	Increase (Decrease) in basis points	Rs. Million	
		Sensitivity of Profit or Loss	Sensitivity of Equity
Long Term Loans linked to AWPLR -LKR	2019	2019	2019
	+100/ (-100)	(2.30) / 2.30	(4.76) /4.76
	2018	2018	2018
	+100/ (-100)	(2.01) / 2.01	(2.98) /2.98

The base ratio considered in the Interest Rate Sensitivity Analysis is the AWPLR. Since 44% of total borrowings (excluding Due to Customers) are linked to AWPLR, the above sensitivity ratio indicates the impact on Profit or Loss and Equity.

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40. RISK MANAGEMENT DISCLOSURES (Contd...)**40.5 INTEREST RATE RISK (Contd...)****40.5.2 Interest Rate Risk****Interest Rate Risk Exposure on Non Trading Financial Assets & Liabilities**

The table below analyses the company's interest rate risk exposure on non- trading financial assets & liabilities. The company's assets & liabilities are included at carrying amount categorized by the earlier of contractual reprising or maturity dates as at the end of the relevant financial period.

	Up to 03 Months	03-12 Months	01-03 Years	03-05 Years	Over 05 Years	Non interest bearing	Total as at
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	31 March 2019 Rs.
ASSETS							
Cash and Bank Balances	97,333,791	-	-	-	-	166,183,893	263,517,684
Placement with Banks	234,766,360	14,892,657	-	-	-	-	249,659,017
Securities Purchased under Repurchase Agreement	281,537,224	-	-	-	-	-	281,537,224
Loans and Advances	773,451,241	590,042,448	569,360,490	185,163,332	9,763,077	-	2,127,780,588
Lease Rentals Receivable & Stock out on Hire	1,313,759,464	1,769,225,928	1,379,654,550	797,269,199	1,715,212	-	5,261,624,352
Equity instruments at fair value through OCI	-	-	-	-	80,400	-	80,400
Debt instruments at amortised cost	215,455,123	-	20,459,216	-	-	-	235,914,339
Other Financial Assets	-	-	-	-	-	171,436,746	171,436,746
TOTAL ASSETS	2,916,303,204	2,374,161,033	1,969,474,255	982,432,531	11,558,689	337,620,638	8,591,550,350
LIABILITIES							
Due to Banks	185,437,118	123,238,889	172,400,000	30,684,285	-	-	511,760,291
Due to Customers	1,566,713,128	3,127,154,824	936,756,031	162,342,541	-	-	5,792,966,524
Other Borrowed Funds	-	-	230,277,717	190,316,128	-	-	420,593,845
Other Financial Liabilities	-	-	-	-	-	555,894,435	555,894,435
TOTAL LIABILITIES	1,752,150,246	3,250,393,713	1,339,433,748	383,342,954	-	555,894,435	7,281,215,095
TOTAL INTEREST SENSITIVITY GAP	1,164,152,959	(876,232,680)	630,040,507	599,089,577	11,558,689	(218,273,796)	1,310,335,254

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40. RISK MANAGEMENT DISCLOSURES (Contd...)**40.5 INTEREST RATE RISK (Contd...)****40.5.2.1 Interest Rate Risk****Interest Rate Risk Exposure on Non Trading Financial Assets & Liabilities**

The table below analyses the company's interest rate risk exposure on non- trading financial assets & liabilities. The Company's assets & liabilities are included at carrying amount categorized by the earlier of contractual reprising or maturity dates as at the end of the previous financial period.

	Up to 03 Months	03-12 Months	01-03 Years	03-05 Years	Over 05 Years	Non interest bearing	Total as at
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	31 March 2018
ASSETS							
Cash and Bank Balances	308,453,199	-	-	-	-	97,021,342	405,474,541
Placement with Banks	249,673,965	300,927,125	-	-	-	-	550,601,090
Securities Purchased under Repurchase Agreement	362,248,075	-	-	-	-	-	362,248,075
Loans and Advances	719,310,731	1,017,147,861	596,602,864	93,720,873	9,039,014	11,264,294	2,447,085,638
Lease Rentals Receivable & Stock out on Hire	1,111,852,139	1,478,274,878	1,739,581,483	162,503,122	84,574	55,240,903	4,547,537,098
Financial Investments - Available for Sale	-	-	-	-	-	80,400	80,400
Financial Investments - Held to Maturity	216,714,891	3,181,751	6,809,827	12,923,665	-	-	239,630,135
Other Financial Assets	-	-	-	-	-	89,429,809	89,429,809
TOTAL ASSETS	2,968,253,000	2,799,531,615	2,342,994,174	269,147,660	9,123,588	253,036,748	8,642,086,786
LIABILITIES							
							-
Due to Banks	34,492,194	77,500,000	74,722,165	31,666,667	-	-	218,381,026
Due to Customers	1,703,912,197	3,614,027,595	1,090,862,152	206,357,423	-	-	6,615,159,367
Other Financial Liabilities	-	-	-	-	-	525,278,976	525,278,976
TOTAL LIABILITIES	1,738,404,391	3,691,527,595	1,165,584,317	238,024,090	-	525,278,976	7,358,819,369
TOTAL INTEREST SENSITIVITY GAP	1,229,848,609	(891,995,979)	1,177,409,857	31,123,570	9,123,588	(272,242,228)	1,283,267,417

40. RISK MANAGEMENT DISCLOSURES (Contd...)**40.6 LIQUIDITY RISK**

Liquidity risk refers to the availability of sufficient cash balances to meet the demand on deposits and new lending targets as well as provide a flow of net liquid assets to meet contractual borrowings and other commitments. Liquidity risk is financial risk due to uncertain liquidity. An institution might lose liquidity if it experiences sudden unexpected cash outflows, or some other event causes counterparties to avoid trading with or lending to the institution. A firm is also exposed to liquidity risk if markets on which it depends are subject to loss of liquidity. The Company's primary objective in liquidity risk management is to ensure adequate funding for its businesses throughout market cycles, including periods of financial stress. To achieve this objective the asset and liability management committee (ALCO) analyses and monitors liquidity risk, and maintains an adequate margin of safety in liquid assets.

The Company maintains a portfolio of highly marketable and diverse assets that are assumed to be easily liquidated in the event of an unforeseen interruption of cash flow. The Company also has committed lines of credit that it can access to meet liquidity needs. In addition, the Company maintains the liquidity ratio prescribed by Central Bank of Sri Lanka.

40.6.1 Statutory Liquid Asset Ratio

As per the requirements of Finance companies (Liquid Assets) Direction No.4 of 2013 the Company has to maintain minimum liquid assets comprises of 10% of Time Deposits and Certificates of Deposits at the close of the business on such day and 15% of Savings Deposits at the close of the business on such day. In addition to the above, with effect from 01st July, 2014 the company needs to maintain 10% on Borrowings which are not included in the Tier –II capital base and borrowings which are not secured by mortgage of any assets. Further the Company has to maintain liquid assets in the form of Sri Lanka Government Securities not less than 7.5% of average month end total deposit liabilities and the above said borrowings of twelve months of the preceding financial year.

The Company maintained a healthy statutory liquid asset ratio throughout the year. The Company considers cash balances, Favorable Balances held with Commercial Banks on demand deposits, Placement with banks in the form of Time Deposits and Savings, Investment in Treasury Bills, Securities Purchased under Repurchase Agreement are considered as Liquid Assets for the purpose Statutory Liquid Asset Ratio calculation.

	Statutory Liquid Asset Ratio	
	2019	2018
Maximum	25.52%	28.49%
Minimum	17.16%	19.25%
Average	20.63%	23.54%
Closing	17.92%	23.32%

40.6.2 Advances to Deposits ratio

The Company stresses the importance of maintaining an adequate Customer Deposit Base such as Time and Savings Deposits as sources of funds to finance Loans and Advances. They are monitored using the Advances to Deposits ratio which comprises accommodations to customers as a percentage of customer deposits.

	Advances to Deposits Ratio	
	2019	2018
Maximum	126.97%	113.43%
Minimum	104.39%	104.66%
Average	114.43%	107.67%
Closing	126.97%	104.73%

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Year ended 31 March 2019

40. RISK MANAGEMENT DISCLOSURES (Contd...)**40.6.3 Contractual Maturities of Undiscounted Cash Flows of Financial Assets & Financial Liabilities****40.6.3.1** The table below analyses the maturity profile of the undiscounted cash flows of the Company's Financial Assets & Liabilities as at the end of relevant financial period.

ASSETS	On Demand Rs.	Up to 03 Months Rs.	03-12 Months Rs.	01-03 Years Rs.	03-05 Years Rs.	Over 05 Years Rs.	Total as at 31 March 2019 Rs.
Cash and Bank Balances	263,517,684	-	-	-	-	-	263,517,684
Placement With Banks	6,406,195	234,258,050	16,092,820	-	-	-	256,757,065
Securities Purchased under Repurchase Agreement	15,511,425	267,414,286	-	-	-	-	282,925,711
Loans and Advances	398,078,914	446,409,310	736,969,788	829,137,153	299,126,704	12,690,748	2,722,412,617
Lease rentals receivable & Stock out on Hire	672,084,051	849,266,488	2,309,113,847	1,939,093,123	1,249,929,681	2,903,192	7,022,390,382
Equity instruments at fair value through OCI	-	-	-	-	-	80,400	80,400
Debt instruments at amortised cost	-	219,592,455	-	21,605,500	-	-	241,197,955
Other Financial Assets	33,255,900	113,372,311	6,050,740	17,891,586	866,209	-	171,436,746
Total Financial Assets	1,388,854,169	2,130,312,900	3,068,227,195	2,807,727,362	1,549,922,594	15,674,340	10,960,718,560
LIABILITIES							
Due to Banks	128,421,459	71,198,640	154,204,445	202,235,410	32,239,013	-	588,298,967
Due to Customers	187,551,379	1,375,986,655	3,301,271,013	1,040,703,901	188,429,945	1,418,400	6,095,361,293
Debt Instruments Issued and Other Borrowed Funds	-	-	243,653,846	237,692,308	-	-	481,346,154
Other Financial Liabilities		555,894,435					555,894,435
Total Financial Liabilities	315,972,838	2,003,079,730	3,699,129,304	1,480,631,619	220,668,958	1,418,400	7,720,900,849
	1,072,881,331	127,233,170	(630,902,109)	1,327,095,743	1,329,253,636	14,255,940	3,239,817,711

NOTES TO THE FINANCIAL STATEMENTS

Year ended 31 March 2019

40. RISK MANAGEMENT DISCLOSURES (Contd...)**40.6.3 Contractual Maturities of Undiscounted Cash Flows of Financial Assets & Financial Liabilities****40.6.3.2** The table below analyses the maturity profile of the undiscounted cash flows of the Company's Financial Assets & Liabilities as at the end of previous financial period.

ASSETS	On Demand Rs.	Up to 03 Months Rs.	03-12 Months Rs.	01-03 Years Rs.	03-05 Years Rs.	Over 05 Years Rs.	Total as at 31 March 2018 Rs.
Cash and Bank Balances	405,474,541	-	-	-	-	-	405,474,541
Placement With Banks	27,551,861	232,794,600	323,179,000	-	-	-	583,525,461
Securities Purchased under Repurchase Agreement	212,198,793	151,301,849	-	-	-	-	363,500,642
Loans and Advances	270,951,085	587,730,061	1,304,074,623	838,366,564	164,136,335	16,277,971	3,181,536,639
Lease rentals receivable & Stock out on Hire	480,270,543	929,166,478	2,031,357,134	2,600,187,875	275,250,116	155,692	6,316,387,838
Financial Investments - Available for Sale	-	-	-	-	-	80,400	80,400
Financial Investments - Held to Maturity	-	221,403,433	3,165,200	8,000,000	13,605,500	-	246,174,133
Other Financial Assets	3,377,843	72,798,966	1,926,916	2,264,926	9,061,158	-	89,429,809
Total Financial Assets	1,399,824,666	2,195,195,387	3,663,702,873	3,448,819,365	462,053,109	16,514,063	11,186,109,464
LIABILITIES							
Due to Banks	8,658,861	32,451,744	92,465,500	90,650,937	35,393,790	-	259,620,832
Due to Customers	174,007,569	1,543,057,270	3,786,565,290	1,170,559,315	247,116,696	-	6,921,306,140
Other Financial Liabilities	-	525,278,976	-	-	-	-	525,278,976
Total Financial Liabilities	182,666,430	2,100,787,990	3,879,030,790	1,261,210,252	282,510,486	-	7,706,205,948
	1,217,158,236	94,407,397	(215,327,917)	2,187,609,113	179,542,623	16,514,063	3,479,903,516

40.7 Operational Risk

An operational risk is the risk arising from execution of a company's business functions. The concept of operational risk is broad and focuses on the risks arising from the people, systems and processes through which a company operates. It also includes other categories such as fraud risks, regulatory and compliance risks, reputation and physical or environmental risks.

NOTES TO THE FINANCIAL STATEMENTS

Year ended 31 March 2019

41. MATURITY ANALYSIS (CONTRACTUAL)

41.1 An analysis of the Total Assets employed and Total Liabilities at the year end, based on the remaining at the date of the Statement of Financial Position to the respective contractual maturity dates are given below.

ASSETS	On Demand	Up to 03 Months	03-12 Months	01-03 Years	03-05 Years	Over 05 Years	Total as at
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	31 March 2019
							Rs.
Cash and Bank Balances	263,517,684	-	-	-	-	-	263,517,684
Placement With Banks	5,030,452	229,789,853	14,838,712	-	-	-	249,659,017
Securities Purchased under Repurchase Agreement	15,510,438	266,026,786	-	-	-	-	281,537,224
Loans and Advances	388,934,910	384,516,331	590,042,448	569,360,490	185,163,332	9,763,077	2,127,780,588
Lease rentals receivable & Stock out on Hire	655,330,820	658,428,645	1,769,225,928	1,379,654,550	797,269,199	1,715,212	5,261,624,352
Equity instruments at fair value through OCI	-	-	-	-	-	80,400	80,400
Debt instruments at amortised cost	-	215,455,123	-	20,459,216	-	-	235,914,339
Other Financial Assets	33,255,900	113,372,311	6,050,740	17,891,586	866,209	-	171,436,746
Real Estate Stock	-	-	-	50,793,213	-	-	50,793,213
Other Non Financial Assets	20,324	8,596,357	24,356,137	5,369,937	8,362,010	17,448,630	64,153,395
Property, Plant & Equipment	-	-	-	-	-	85,287,696	85,287,696
Intangible Assets	-	-	-	-	-	32,758,835	32,758,835
Deferred tax assets	-	-	-	35,767,246	-	-	35,767,246
Total Assets	1,361,600,528	1,876,185,407	2,404,513,964	2,079,296,237	991,660,750	147,053,850	8,860,310,735
LIABILITIES							
Due to Banks	128,153,784	57,283,333	123,238,889	172,400,000	30,684,285	-	511,760,291
Due to Customers	191,544,371	1,375,168,757	3,127,154,824	936,756,031	162,342,541	-	5,792,966,524
Other Borrowed Funds	-	-	230,277,717	190,316,128	-	-	420,593,845
Other Financial Liabilities	-	555,894,435	-	-	-	-	555,894,435
Other Non Financial Liabilities	-	18,741,949	-	-	-	-	18,741,949
Current Tax Liabilities	-	-	8,822,247	-	-	-	8,822,247
Retirement Benefit Liability	-	-	3,317,443	3,600,550	4,295,641	6,257,547	17,471,181
Total Liabilities	319,698,155	2,007,088,474	3,492,811,120	1,303,072,709	197,322,467	6,257,547	7,326,250,472

NOTES TO THE FINANCIAL STATEMENTS

Year ended 31 March 2019

41. MATURITY ANALYSIS (CONTRACTUAL)

41.2 An analysis of the Total Assets employed and Total Liabilities at the year end, based on the remaining at the end of the previous financial period to the respective contractual maturity dates are given below

ASSETS	On Demand Rs.	Up to 03 Months Rs.	03-12 Months Rs.	01-03 Years Rs.	03-05 Years Rs.	Over 05 Years Rs.	Total as at 31 March 2018 Rs.
Cash and Bank Balances	405,474,541	-	-	-	-	-	405,474,541
Placement With Banks	25,176,498	224,497,467	300,927,125	-	-	-	550,601,090
Securities Purchased under Repurchase Agreement	212,118,596	150,129,479	-	-	-	-	362,248,075
Loans and Advances	256,434,364	474,140,662	1,017,147,861	596,602,864	93,720,873	9,039,014	2,447,085,638
Lease rentals receivable & Stock out on Hire	446,671,205	720,421,836	1,478,274,878	1,739,581,483	162,503,122	84,574	4,547,537,098
Financial Investments - Available for Sale	-	-	-	-	-	80,400	80,400
Financial Investments - Held to Maturity	-	216,714,891	3,181,751	6,809,827	12,923,665	-	239,630,135
Other Financial Assets	3,377,843	72,798,966	1,926,916	2,264,926	9,061,158	-	89,429,809
Real Estate Stock	-	5,733,860	20,765,000	31,550,815	-	-	58,049,675
Other Non Financial Assets	-	32,031,858	8,682,385	5,704,483	12,264,035	15,855,598	74,538,359
Tax Recoverable	-	-	19,422,858	-	-	-	19,422,858
Property, Plant & Equipment	-	-	-	-	-	89,641,860	89,641,860
Intangible Assets	-	-	-	-	-	21,098,350	21,098,350
Deferred tax assets	-	-	-	52,586,166	-	-	52,586,166
Total Assets	1,349,253,047	1,896,469,018	2,850,328,775	2,435,100,564	290,472,853	135,799,796	8,957,424,054
LIABILITIES							
Due to Banks	8,658,861	25,833,333	77,500,000	74,722,165	31,666,667	-	218,381,026
Due to Customers	174,571,946	1,529,340,251	3,614,027,595	1,090,862,152	206,357,423	-	6,615,159,367
Other Financial Liabilities	-	525,278,976	-	-	-	-	525,278,976
Other Non Financial Liabilities	-	12,064,037	-	-	-	-	12,064,037
Retirement Benefit Liability	-	-	2,855,665	4,815,035	3,515,000	7,727,020	18,912,720
Total Liabilities	183,230,807	2,092,516,597	3,694,383,260	1,170,399,352	241,539,090	7,727,020	7,389,796,126

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Year ended 31 March 2019

42. COMMITMENTS AND CONTINGENCIES

42.1 Commitments

As at 31 March 2019	On Demand Rs.	With in 01 year Rs.	1-5 years Rs.	More than 5 years Rs.	Total Rs.
Operating Lease Commitments-Company as lessee	-	44,945,067	74,355,400	-	119,300,467
	-	44,945,067	74,355,400	-	119,300,467
As at 31 March 2018	On Demand Rs.	With in 01 year Rs.	1-5 years Rs.	More than 5 years Rs.	Total Rs.
Operating Lease Commitments-Company as lessee	-	43,395,515	100,930,199	-	144,325,714
	-	43,395,515	100,930,199	-	144,325,714

42.2 Contingent Liabilities

The Company recognized a Contingent Liability of Rs.18,260,106 in relation to the Income Tax Assessment issued by CGIR for the Y/A 2012/2013.

The Inland Revenue Department has issued the determination of appeal dated on 12 January 2018 confirming the Income Tax liability of amounting Rs. 18,260,106 for the Y/A 2012/2013 and The Company has made an appeal to the Tax Appeal Commission on the same.

42.3 Capital Commitments

The Company has no commitments for acquisition of Property, Plant & Equipment incidental to the ordinary course of business.

43. CAPITAL

The Company maintains an activity managed capital basis to cover risks inherent in the business and meet the capital adequacy requirements of Central Bank of Sri Lanka. The adequacy of the company's capital is monitored based on the measures, rules and ratios adopted by Central Bank of Sri Lanka.

Capital Management

The primary objective of Company's capital management policy are to ensure that the company complies with externally imposed capital requirements and healthy capital ratios in order to support its business and to maximize shareholders' value.

Abans Finance PLC is yet to comply with the minimum core capital set out in the Direction No.02 of 2017 of Finance Business Act as of 31 March 2019. As a result, the Central Bank of Sri Lanka had issued a letter dated 23 January 2019 imposing a temporary cap on deposit base until required minimum core capital is met.

Description	Year ended 31.03.2019 Rs.	Year ended 31.03.2018 Rs.
SLFRS 9 based impairment provisions recorded in the Financial Statements	841,862,156	511,289,350
Regulatory provisions reported to Central Bank without Interest in Suspense	829,664,174	398,332,816
Interest in Suspense reported to Central Bank	257,603,233	157,071,339
Total Regulatory provisions reported to the Central Bank of Sri Lanka (CBSL)	1,087,267,407	555,404,156
Impairment Provision between Gap CBSL provision and SLFRS 9 provision	(245,405,250)	(44,114,806)
Profit / (Loss) as reported in accordance with the Central Bank provisioning method	(257,964,651)	120,237,697
Capital Adequacy Ratios (as per Central bank Direction)		
Tier 1 Ratio - (Minimum Requirement - 5% for 2018 & 6% for 2019)	19.55	21
Total Capital ratio - (Minimum Requirement - 10% for 2018 & 2019)	19.55	21

44. ASSETS PLEDGED

The following assets have been pledged as security for liabilities.

Nature of Assets	Nature of Liability	Carrying Amount Pledged		Included Under
		2019 Rs.	2018 Rs.	
Lease & Hire Purchase Receivables	Bank Overdraft	356,000,000	313,366,667	Lease Rental Receivables and Stock Out on Hire
Placement With Banks	Bank Overdraft	48,725,317	34,000,000	Placement With Banks
Lease & Hire Purchase Receivables	Term Loan	687,901,778	419,444,445	Lease Rental Receivables and Stock Out on Hire
		1,092,627,095	766,811,112	

45. RELATED PARTY TRANSACTIONS

The Company carried out transactions with key management and their related concerns and other related entities in the ordinary course of its business on an arm's length basis at commercial rates with the parties who are defined as Sri Lanka Accounting Standard No.24 Related Party Disclosure, details of which are reported below. such transactions is based on the assessment of risk and pricing model of the Company and is comparable with what is applied to transactions between the Company and its unrelated customers.

Outstanding balances as at the year-end are unsecured, interest free, and due on demand. There have been no guarantees provided or received for any related party receivables or payables.

Details of related party transactions during the year are as follows:

45.1 The Parent

Abans PLC owns 49.67% (2018- 49.67%) shareholding of the Company.

45.2 The Ultimate Parent

Abans International (Pvt) Ltd is the ultimate parent of Abans Finance PLC.

45.3 Transactions with Key Management Personnel

According to Sri Lanka Accounting Standard-LKAS 24 (Related Party Disclosures), Key Management Personnel (KMP) are those having authority and responsibility for planning, directing and controlling the activities of the entity. According to the above definition a person cannot be considered as a KMP unless such person has both the authority and responsibility to carry out all of the three activities mentioned in the above definition (i.e. planning, directing and controlling the activities of the entity). Such KMPs include the Board of Directors of the Company and Chief Executive Officer (CEO).

Other related parties include CFMs of the KMPs who are family members who may be expected to influence or be influenced by that KMP in their dealings with the entity.

Compensation to Key Management Personnel	2019 Rs.	2018 Rs.
Short Term Employee Benefits	21,541,183	19,206,890
Post-employment benefits	2,014,725	1,685,700
	<u>23,555,908</u>	<u>20,892,590</u>
Other transactions with Key Management Personnel	2019 Rs.	2018 Rs.
Fixed Deposits accepted during the year	2,115,000	40,300,000
Fixed Deposits held at the end of the year	13,843,126	493,126
Consultancy Fee paid during the year	2,742,720	2,594,592

In addition to the above, the Company has also provided non-cash benefits such as vehicle & fuel allowance to Key Management Personnel in line with the approved employment benefits of the Company.

Loans and Advances granted

No loans or advances were given to Key Managerial Personnel and their close family members during the year.(2017/2018- Nil).

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45. RELATED PARTY TRANSACTIONS (Contd..)

45.4 Transactions with entities that are controlled, jointly controlled or significantly influenced by Key Management Personnel or their close member of family, or shareholders who have either control, significant influences or joint control over entity.

Nature of Transaction	Abans PLC Parent Company		Abans Auto (Pvt) Ltd Affiliate Company		Abans Tours (Pvt) Ltd Affiliate Company		Abans Transport (Pvt) Ltd Affiliate Company		Other Related Parties **		Total	
	2019 Rs.	2018 Rs.	2019 Rs.	2018 Rs.	2019 Rs.	2018 Rs.	2019 Rs.	2018 Rs.	2019 Rs.	2018 Rs.	2019 Rs.	2018 Rs.
Fixed Deposits Accepted during the year	-	-	-	-	-	-	-	-	28,786,000	21,000,000	28,786,000	21,000,000
Fixed Deposits held at the end of the year	-	-	-	-	-	-	-	-	124,944,550	149,597,908	124,944,550	149,597,908
As at 1 April	11,243,480	19,421,382	(143,612,036)	(216,853,088)	28,413,929	50,679,120	18,084,697	18,126,280	(823,330)	(1,012,476)	(86,693,258)	(129,638,783)
Purchase of Motor Bikes - Lease Granting	-	-	(1,477,277,551)	(2,187,268,840)	-	-	-	-	-	-	(1,477,277,551)	(2,187,268,840)
Collections made on behalf of Abans Finance	1,309,547,875	216,797,162	-	-	-	-	-	-	-	-	1,309,547,875	216,797,162
Expense on collection commission	(14,385,553)	(17,402,300)	-	-	-	-	-	-	-	-	(14,385,553)	(17,402,300)
Support Services Expenses	-	-	-	-	-	-	-	-	(17,109,986)	(15,012,665)	(17,109,986)	(15,012,665)
Rent Income Recognized & Expense Recoveries	(2,102,397)	4,824,426	-	-	-	-	-	-	(771,429)	(844,898)	(2,873,826)	3,979,528
Rent Expense Paid	-	-	-	-	-	-	-	-	789,796	633,673	789,796	633,673
Settlements Paid/(Received)	(1,287,471,709)	(212,397,189)	1,523,161,560	2,260,509,892	-	-	-	-	15,409,781	15,413,036	251,099,631	2,063,525,739
Facilities Granted and Interest Accrued	-	-	-	-	-	4,417,896	1,135,570	2,832,428	-	-	1,135,570	7,250,324
Settlements received for the facilities	-	-	-	-	(28,413,929)	(26,683,086)	(12,412,392)	(2,874,011)	-	-	(40,826,322)	(29,557,097)
As at 31 March	<u>16,831,696</u>	<u>11,243,480</u>	<u>(97,728,028)</u>	<u>(143,612,036)</u>	<u>-</u>	<u>28,413,929</u>	<u>6,807,875</u>	<u>18,084,697</u>	<u>(2,505,169)</u>	<u>(823,330)</u>	<u>(76,593,625)</u>	<u>(86,693,258)</u>

Included in

	2019 Rs.	2018 Rs.
Loans and Advances	6,807,875	11,732,099
Lease Rentals Receivable & Stock Out on Hire	-	34,766,528
Other Financial Assets	18,568,601	14,734,680
Other Financial Liabilities	<u>(101,970,102)</u>	<u>(147,926,565)</u>
	<u>(76,593,625)</u>	<u>(86,693,259)</u>

**Other Related Parties include the following companies

Abans Graphics (Pvt) Ltd
 Abans Retail (Pvt) Ltd
 Abans Marketing (Pvt) Ltd
 Abans Electricals PLC (Service Department)
 Abans Office Automation (Pvt) Ltd
 AB Creation (Pvt) Ltd
 Add Outdoor Advertising (Pvt) Ltd
 ABS Gardiner Dixon Hall International (Pvt) Ltd
 Advantage Technologies (Pvt) Ltd
 Abans Environment Services (Pvt) Ltd
 AB Logistics (Pvt) Ltd
 AB Logistics (Pvt) Ltd
 ABS Courier (Pvt) Ltd
 Ironwood Investments Holdings (Pvt) Ltd

Other Related Parties are companies controlled / jointly controlled / significantly influenced by Key Management Personnel.

NOTES TO THE FINANCIAL STATEMENTS

Year ended 31 March 2019

46. FINANCIAL REPORTING BY SEGMENT

	Leasing		Hire purchase		Term Loans		Others		Total	
	2019 Rs.	2018 Rs.	2019 Rs.	2018 Rs.	2019 Rs.	2018 Rs.	2019 Rs.	2018 Rs.	2019 Rs.	2018 Rs.
Interest Income	1,233,269,527	1,042,219,905	982,608	4,824,287	467,140,076	519,241,078	118,710,274	145,300,438	1,820,102,486	1,711,585,707
Fee Based Income & Others	135,477,967	178,462,964	679,182	349,736	8,572,254	6,904,991	290,993	2,924,819	145,020,396	188,642,511
Unallocated Income	-	-	-	-	-	-	13,426,008	17,442,376	13,426,008	17,442,376
Total Revenue	1,368,747,494	1,220,682,869	1,661,790	5,174,023	475,712,331	526,146,069	132,427,275	165,667,634	1,978,548,890	1,917,670,594
Interest Expenses	(511,059,858)	(442,701,500)	(2,311,922)	(3,419,295)	(240,193,104)	(250,102,272)	(106,761,188)	(117,371,171)	(860,326,072)	(813,594,238)
Fee Based Expenses & Others	(56,902,220)	(109,785,662)	-	-	(33,598)	(83,910)	(17,138,425)	(33,680,907)	(74,074,243)	(143,550,479)
Impairment Reversal / (Provision)	(202,914,210)	(33,430,770)	(986,134)	212,836	(14,547,281)	(52,519,081)	(83,533,349)	(137,365,104)	(301,980,973)	(223,102,119)
Net Operating Income	597,871,206	634,764,936	(1,636,266)	1,967,564	220,938,348	223,440,806	(75,005,686)	(122,749,549)	742,167,602	737,423,758
Unallocated Expenses									(631,288,049)	(604,474,332)
Profits/ (Loss) before Tax									110,879,554	132,949,426
Income Tax expenses									(87,158,230)	(38,085,738)
Net Profit/(Loss) for the period									23,721,323	94,863,688
Other Comprehensive Income									2,387,969	(897,936)
Total Comprehensive Income for the Year									26,109,292	93,965,752
Segment Assets	5,236,804,547	4,473,190,120	24,819,806	19,106,075	2,127,780,588	2,435,821,344	817,903,793	1,210,528,976	8,207,308,734	8,138,646,515
Unallocated Assets	-	-	-	-	-	-	-	-	653,002,001	818,777,539
Total Assets	5,236,804,547	4,473,190,120	24,819,806	19,106,075	2,127,780,588	2,435,821,344	817,903,793	1,210,528,976	8,860,310,735	8,957,424,054
Unallocated Liabilities									7,326,250,472	7,389,796,126
Total Liabilities									7,326,250,472	7,389,796,126

NOTES TO THE FINANCIAL STATEMENTS

Year ended 31 March 2019

47. COMPARATIVE INFORMATION

	Previous Year Classification Rs.	Reclassified Rs.	Current Year Classification Rs.
OTHER FINANCIAL ASSETS			
Reposessed Stock	-	18,032,375	18,032,375
Other Receivables	200,260,699	(139,309,379)	60,951,320
	200,260,699	(121,277,004)	78,983,695
Less : Allowance for Impairment Losses (Note 22.1)	(74,470,001)	54,771,807	(19,698,194)
	125,790,698	(66,505,197)	59,285,501
Deposit	15,409,628	-	15,409,628
Due From Related Parties	14,734,680	-	14,734,680
	155,935,006	(66,505,197)	89,429,809
Allowance for Impairment Losses			
As at 01 April	76,196,266	(34,723,742)	41,472,523
Charge / (Reversal) for the year	137,365,104	(20,048,064)	117,317,040
Amounts written off	(139,091,369)	-	(139,091,369)
As at 31 March	74,470,001	(54,771,807)	19,698,194
Individual Impairment	1,213,834	(1,213,834)	-
Collective Impairment	73,256,167	(53,557,972)	19,698,194
	74,470,001	(54,771,807)	19,698,194
LOANS AND ADVANCES			
Real Estate Loans	2,994,278	-	2,994,278
Mortgage Loans	586,369,059	-	586,369,059
Personnel Loans	301,743,047	-	301,743,047
Loans against Fixed Deposits	145,764,194	-	145,764,194
Staff Loans	41,841,032	-	41,841,032
Revolving Loans	133,301,535	-	133,301,535
Business Loans	815,306,787	-	815,306,787
Other Loans	563,414,822	-	563,414,822
	2,590,734,754	-	2,590,734,754
Other Charges Receivable	-	27,811,352	27,811,352
	2,590,734,754	27,811,352	2,618,546,106
Less : Allowance for Impairment Losses (Note 19.1)	(154,913,410)	(16,547,058)	(171,460,468)
Net Loans and Advances	2,435,821,344	11,264,294	2,447,085,638

NOTES TO THE FINANCIAL STATEMENTS

Year ended 31 March 2019

Allowance for Impairment Losses	Previous Year Classification Rs.	Reclassified Rs.	Current Year Classification Rs.
As at 01 April	102,390,149	8,187,321	110,577,470
Charge / (Reversal) for the year	52,523,261	8,359,737	60,882,998
Amounts written off	-	-	-
As at 31 March	154,913,410	16,547,058	171,460,468
Individual Impairment	39,812,532	-	39,812,532
Collective Impairment	115,100,878	16,547,058	131,647,936
	154,913,410	16,547,058	171,460,468

LEASE RENTALS RECEIVABLE & STOCK OUT ON HIRE

Gross rentals receivables	Previous Year Classification Rs.	Reclassified Rs.	Current Year Classification Rs.
-Lease Rentals	6,221,315,557	-	6,221,315,557
-Amounts Receivable form Hirers	39,912,328	-	39,912,328
	6,261,227,885	-	6,261,227,885
Less: Unearned Income	(1,481,675,613)	-	(1,481,675,613)
Net rentals receivables	4,779,552,272	-	4,779,552,272
Less : Rental Received In Advance	(16,512)	-	(16,512)
Less : Suspended VAT	(5,333,626)	-	(5,333,626)
	4,774,202,134	-	4,774,202,134
Other Charges Receivable	-	93,465,652	93,465,652
	4,774,202,134	93,465,652	4,867,667,786
Less : Allowance for Impairment Losses (Note 19.1)	(281,905,939)	(38,224,749)	(320,130,688)
Total net rentals receivable (Note 19.2, 19.3)	4,492,296,195	55,240,903	4,547,537,098

Allowance for Impairment Losses	Previous Year Classification Rs.	Reclassified Rs.	Current Year Classification Rs.
As at 01 April	248,692,186	26,536,421	275,228,607
Charge / (Reversal) for the year	33,213,752	11,688,328	44,902,080
Amounts written off	-	-	-
As at 31 March	281,905,938	38,224,749	320,130,687
Individual Impairment	40,045,920	1,213,834	41,259,754
Collective Impairment	241,860,018	37,010,915	278,870,933
	281,905,938	38,224,749	320,130,687

48. EVENTS AFTER THE REPORTING DATE

Events after the reporting period are those events, favorable and unfavorable, that occur between the reporting date and the date of the financial statements are authorised for issue.

There are no events occurring after the reporting date which require adjustments to or disclosure in the financial statements as at 31 March 2019.

Abans Finance PLC

KEY PERFORMANCE INDICATORS _ AS PER CBSL REQUIREMENT

Year ended 31 March 2019

INDICATOR	As At 31 March 2019 Audited	As At 31 March 2018 Audited
Regulatory Capital Adequacy		
Core Capital (Tier 1 Capital) Rs.'000	1,514,060	1,547,628
Total Capital Base Rs.'000	1,514,060	1,547,628
Core Capital to Risk weighted Asset Ratio % (Minimum 5%)	19.55	21.00
Total Capital to Risk weighted Asset Ratio % (Minimum 10%)	19.55	21.00
Capital Funds to Total Deposit Liabilities Ratio (Minimum 10%)	26.48	23.70
Asset Quality (Quality Of Loan Portfolio)		
Gross Non Performing Accommodations, Rs.'000 *	1,483,826	821,554
Gross Non Performing Accommodations, Ratio (%) *	18.02	10.94
Net-Non Performing Accommodations, Ratio (%) *	5.76	4.43
<i>* Computed as per the CBSL Guidelines</i>		
Profitability		
Interest Margin (%)	10.77	10.92
Return on Average Assets (%) (Before Tax)	1.24	1.62
Return on Average Equity (%) (After Tax)	1.53	6.77
Regulatory Liquidity (Rs. '000)		
Required Minimum Amount of Liquid Assets	581,246	663,122
Available Amount of Liquid Assets	1,037,945	1,542,375
Required Minimum amount of Government Securities	454,839	386,007
Available Amount of Government Securities	496,992	578,963
Memorandum Information		
Number of Employees	383	376
No. of Branches	10	10
No. of Service Centers	13	13

CERTIFICATION :

We, the undersigned, being the Director and the Chief Financial Officer of Abans Finance PLC

Certify jointly that :

- the above statement (Key Performance Indicators) have been prepared in compliance with the format and definitions prescribed by the Central Bank of Sri Lanka;
- the information contained in these statements have been extracted from the audited financial statements of the company



Ivon Brohier
Chief Financial Officer



Roshan Nanayakkara
Managing Director/CEO